



# COMPETITION ADVOCACY 2026

*Fair Competition for Greater Good*



Fair Competition  
for Greater Good

भारतीय प्रतिस्पर्धा आयोग  
Competition Commission of India

## **VISION**

*To promote and sustain an enabling competition culture through engagement and enforcement that would inspire businesses to be fair, competitive and innovative; enhance consumer welfare; and support economic growth.*

## MISSION

*Competition Commission of India aims to establish a robust competitive environment through: -*

- © *proactive engagement with all stakeholders, including consumers, industry, government and international-jurisdictions*
- © *being a knowledge intensive organization with high competence levels*
- © *professionalism, transparency, resolve and wisdom in enforcement*

## **DISCLAIMER**

*This quick guide is published as part of the Competition Advocacy and Awareness Programme of the Competition Commission of India (the Commission). Its contents should, in no way, be treated as official views of the Commission. Readers are advised to carefully study the Competition Act 2002, as amended by the Competition (Amendment) Act, 2007, the Competition (Amendment) Act, 2009, and the Competition (Amendment) Act, 2023, and seek legal advice, wherever necessary.*

# **COMPETITION ADVOCACY**

# CONTENTS

|                                                                                                               |              |
|---------------------------------------------------------------------------------------------------------------|--------------|
| <b>1. Competition Compliance</b>                                                                              | <b>9-20</b>  |
| – Compliance arrangements by enterprises                                                                      | 10           |
| – Preparing the employees for investigations                                                                  | 15           |
| – Identify employees and divisions at risk                                                                    | 15           |
| – Confidentiality                                                                                             | 16           |
| <b>2. How to File Information</b>                                                                             | <b>21-26</b> |
| – Who can file the Information?                                                                               | 22           |
| – What are the issues on which Information can be filed?                                                      | 22           |
| – What are the specific provisions in the Competition Act, 2002? (as amended) on Anti-Competitive Agreements? | 22           |
| – What are the specific provisions in the Competition Act, 2002 on abuse of dominant position?                | 23           |
| – How to file Information before the Competition Commission of India?                                         | 24           |
| – Whom to address and where to file?                                                                          | 24           |
| – What are the fees to be paid?                                                                               | 25           |
| – How to pay the fee?                                                                                         | 26           |
| <b>3. Cartels</b>                                                                                             | <b>27-32</b> |
| – Introduction                                                                                                | 28           |
| – What is a cartel?                                                                                           | 28           |
| – Extra-territorial reach                                                                                     | 29           |
| – Cartels-presumed injurious                                                                                  | 29           |
| – Common characteristics of cartels                                                                           | 29           |
| – Conditions conducive to formation of cartels                                                                | 30           |
| – Inquiry into cartels                                                                                        | 30           |
| – Powers of the Competition Commission of India                                                               | 31           |
| – Leniency scheme                                                                                             | 31           |
| – Interim order                                                                                               | 32           |
| – Appeals                                                                                                     | 32           |
| <b>4. Public Procurement and Bid-Rigging</b>                                                                  | <b>33-46</b> |
| – Introduction                                                                                                | 34           |
| – Competition concerns in Public Procurement                                                                  | 34           |
| – Role of Competition Agency in Public Procurement                                                            | 35           |

|                                                                              |              |
|------------------------------------------------------------------------------|--------------|
| – Bid Rigging and Forms of Bid Rigging                                       | 36           |
| – Factors causing Competition Distortions                                    | 38           |
| – Industry, Product and Service Characteristics that help support collusion  | 39           |
| – Warning Signals of Bid Rigging                                             | 40           |
| – Additional Checklist for detecting Bid Rigging                             | 43           |
| – Methodology to reduce the risk of Bid Rigging                              | 44           |
| – Steps, Procurement Officials should take, in case of Suspected Bid Rigging | 46           |
| – Diagnostic Toolkit for Public Procurement Officials                        | 46           |
| <b>5. Abuse of Dominance</b>                                                 | <b>47-53</b> |
| – Introduction                                                               | 48           |
| – What is Dominance?                                                         | 48           |
| – Relevant Market                                                            | 48           |
| – Factors to determine Dominant Position                                     | 49           |
| – Abuse of Dominance                                                         | 49           |
| – Exploitative and Exclusionary Behaviour                                    | 50           |
| – IPRs and Abuse of Dominance                                                | 51           |
| – Inquiry into Abuse of Dominance                                            | 51           |
| – Powers of the Commission                                                   | 52           |
| – Interim Order                                                              | 52           |
| – Appeals                                                                    | 53           |
| – Compensation [Section 53N]                                                 | 53           |
| <b>6. Combinations</b>                                                       | <b>54-64</b> |
| – Introduction                                                               | 55           |
| – What is Combination?                                                       | 55           |
| – Thresholds for Combinations under the Competition Act, 2002                | 56           |
| – De-Minimus Exemption                                                       | 58           |
| – Exemption Notifications                                                    | 58           |
| – Exemption                                                                  | 58           |
| – Combination Notice                                                         | 61           |
| – Acquisition or financing facility by PFIs, VCFs etc.                       | 62           |
| – Procedure for Investigation of Combination                                 | 62           |
| – Evaluation of ‘Appreciable Adverse Effect on Competition’                  | 63           |

|                                                                                                  |              |
|--------------------------------------------------------------------------------------------------|--------------|
| – Green Channel                                                                                  | 63           |
| – Appeals                                                                                        | 64           |
| – Penalties                                                                                      | 64           |
| <b>7. Leniency</b>                                                                               | <b>65-72</b> |
| – Introduction                                                                                   | 66           |
| – What is Leniency Programme                                                                     | 66           |
| – What is Leniency Plus Programme                                                                | 66           |
| – Rationale of Leniency and Leniency Plus Programmes                                             | 66           |
| – Leniency Provisions under the Act                                                              | 67           |
| – Leniency and Leniency Plus Programmes for Whom                                                 | 68           |
| – CCI (Lesser Penalty) Regulations, 2024                                                         | 68           |
| – Conditions to avail Benefit of Leniency and Leniency Plus Provisions                           | 68           |
| – Procedure for grant of Lesser Penalty                                                          | 69           |
| – Quantum of Reduction of Penalty under Leniency Provisions                                      | 70           |
| – Confidentiality                                                                                | 71           |
| – Withdrawal of Applications                                                                     | 71           |
| – Conclusion                                                                                     | 72           |
| – How to contact the Competition Commission of India                                             | 72           |
| <b>8. Frequently Asked Questions</b>                                                             | <b>73-83</b> |
| – What is competition in the market?                                                             | 74           |
| – Why do we need competition in the market?                                                      | 74           |
| – What is meant by Unfair Competition?                                                           | 74           |
| – What constitutes Competition Law and Policy?                                                   | 74           |
| – What are the objectives of the Competition Act, 2002 (as amended)?                             | 75           |
| – How would the objectives of the Competition Act, 2002 be achieved?                             | 75           |
| – What are the functions of CCI?                                                                 | 75           |
| – What is an “Agreement” under the Competition Act, 2002?                                        | 75           |
| – What is an Anti-Competitive Agreement?                                                         | 75           |
| – What constitutes Abuse of Dominance?                                                           | 76           |
| – When the Commission may initiate inquiry into Anti-Competitive Agreements/ Abuse of Dominance? | 77           |
| – Who can provide Information?                                                                   | 77           |



|                                                                                                              |    |
|--------------------------------------------------------------------------------------------------------------|----|
| – Who can make a reference for an inquiry?                                                                   | 77 |
| – Can the Commission initiate inquiry on its own?                                                            | 77 |
| – How will the Commission proceed with an inquiry?                                                           | 78 |
| – What will the Commission do after investigation?                                                           | 78 |
| – What orders the Commission can pass in case of Anti-Competitive Agreements and Abuse of Dominant Position? | 78 |
| – What is a Combination under the Competition Act, 2002?                                                     | 78 |
| – What are the thresholds in case of Combinations?                                                           | 79 |
| – Does a firm proposing to combine have to notify the Commission?                                            | 80 |
| – Is there compulsory wait period for a Combination to take effect?                                          | 80 |
| – What is the procedure for Investigation of Combinations?                                                   | 80 |
| – What orders the Commission can pass in case of a Combination?                                              | 81 |
| – Is there any leniency accorded to anyone who provides information on any Anti-Competitive Agreement?       | 81 |
| – Who can represent the parties before the Commission?                                                       | 81 |
| – Who can make a reference on a competition policy?                                                          | 81 |
| – Who can make a reference on a competition issue?                                                           | 81 |
| – Can the Competition Commission make reference to a Statutory Authority?                                    | 82 |
| – What are the provisions of appeal against any order of the Competition Commission?                         | 82 |
| – How to file an Information?                                                                                | 82 |
| – What are the prescribed fees?                                                                              | 82 |

|                                                                |           |
|----------------------------------------------------------------|-----------|
| <b>Regulations notified by Competition Commission of India</b> | <b>84</b> |
|----------------------------------------------------------------|-----------|

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## **COMPETITION COMPLIANCE**

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# **COMPETITION COMPLIANCE**

## **COMPETITION COMPLIANCE PROGRAMME FOR ENTERPRISES**

### **A Suggested Framework for Compliance of the Competition Act, 2002, [the Act] by Enterprises**

## **COMPLIANCE ARRANGEMENTS BY ENTERPRISES**

### **Meaning and Scope of Competition Compliance**

Competition Compliance Programme (CCP) is a formal internal framework to ensure business, *i.e.*, the management and individual employees, comply with competition law voluntarily. It is aimed at preventing the risk of violation of the Act, knowingly or unknowingly and is based on the principle 'Prevention is better than cure'.

Enterprises should not indulge in anti-competitive behaviour such as price fixing, creation of entry barriers, deliberate reduction in output, allocation of markets, bid-rigging, tie-in sales, predatory pricing, discriminatory pricing etc., which may reduce market efficiencies or cause consumer harm.

The Act covers all economic agents-producers, service providers, traders, sellers, buyers, etc. including 'Association of Enterprises', public sector enterprises and government departments engaged in commercial activities. Members of trade association are typically competitors and while participating in association activities/ attending association meetings, must be sensitive to the risk of violating competition law. Dominant enterprises have special responsibility that their conduct does not result in abuse of dominant position. Similarly, enterprises should also comply with the relevant provisions of the Act before consummating any part of a combination. Proper processes should be laid for compliance during inquiry & investigations and search & seizure etc. and Commission should be promptly informed in case any violation of the Act is noticed.

### **Q.1 What is meant by a Competition Compliance Programme (CCP)?**

Compliance involves the active efforts on the part of an enterprise to comply with the provisions of the Act. When the enterprise takes certain necessary and concrete steps to ensure that knowingly or unknowingly it does not infringe the provisions of the Act, it can be stated to follow a CCP.

### **Q.2 What are the objectives of CCP?**

The CCP should have the following three main objectives:

- (i) Prevent violation of law, *i.e.* the Act and all Rules, Regulations & Orders made there-under.
- (ii) Promote a culture of compliance, and
- (iii) Encourage good corporate citizenship.

### **Q.3 What are the advantages of maintaining a CCP?**

Broadly, CCP offers the following advantages:

- Inculcates a culture of compliance throughout the organization which in turn can be a business enhancer offering positive benefits to business.
- Enabling enterprises to detect any violation at an early stage and take corrective measures to their advantage.
- Assist enterprises to enhance reputation and build goodwill. Enterprises that contravene the provisions of the Act may suffer damage to their reputation, damaging years of careful marketing and brand development.
- Obviates or reduces the costs and negative effects of litigation and regulatory intervention.
- Establishes enterprises as having social conscience, economic ethics and national interest at heart.
- The existence of a strong CCP reflecting the eagerness of the management to comply may temper the severity of the punishment that may be meted out for violation.

### **Q.4 What are some of the major costs of non-compliance?**

Non-compliance can be very costly for enterprises. Non-compliant enterprises may incur the following costs:

- Damage to reputation that has been built over the years.
- Heavy fines: 10% of the average of the global turnover for the preceding three financial years of violation, for anti-competitive agreements and abuse of dominance. In the case of a cartel, there are provisions for imposing on each member of the cartel a monetary penalty of up to three times of its profit for each year of the continuance of such cartel or 10% of its global turnover for each year of the continuance of such cartel, whichever is higher.
- Penalties may also be imposed upon relevant individuals of the non-compliant enterprises in their personal capacity, which may be up to 10% of the average of their incomes, for the last three preceding financial years. In case of cartel, the Commission may impose penalty on such individuals which may be up to 10% of their income for each year of continuance of such agreement.
- Abuse of dominance can also result in division of the dominant enterprise being ordered by the Commission.
- In case a violation is determined by the Commission, affected parties can approach the National Company Law Appellate Tribunal (NCLAT) seeking compensation, which can be very large depending on the type of violation involved.

- Drain of resources in handling competition law infringement cases.
- Loss of business as potential customers/ investors/ joint venture partner may be put off.

### **Q.5 What are the benefits of compliance with the Act?**

The benefits of compliance include the following:

- Goodwill and credible reputation in the eyes of the law and the public.
- Helps avoid fines or mitigate the level of the fine.
- Potentially void agreements can be avoided.
- Potential action for compensation can be avoided.
- Several indirect costs, that may otherwise be avoidable, can be avoided.
- Helps benefit from 'leniency' provisions in the Act.
- Helps increased awareness on competition law among employees.

### **Q.6 What are the elements of a CCP?**

A well formulated and adequate compliance programme should address the business realities faced by the enterprise concerned.

The basic issue is its situation in the market — whether it is a dominant player, going by the definition in the Act. A dominant enterprise needs to be particularly cautious about its behaviour in the market as the law explicitly prohibits certain types of behaviour by dominant enterprises. The law also recognizes group dominance. Every dominant enterprise should make it a point to educate its employees, especially senior executives, about the type of behaviour that should be carefully avoided.

Enterprises that have entered into agreements or are in the process of negotiating agreements, especially agreements with competitors, should take precautions to ensure that they remain on the right side of law.

Enterprises that are members of industry/business associations need to have a clear idea about the Competition Law.

A Compliance Programme should be implemented to ensure that it is of practical use on a day-to-day basis. A sophisticated legal treatise may not be the appropriate document for the employees who look after the work on a day-to-day basis and may not be legally trained.

Compliance Programmes will have to be custom-made for each enterprise and an 'off the shelf' programme is unlikely to serve the purpose.

Practical guidelines should be made available to reflect the market position of the company.

Some of the areas that may be covered in Guidelines are:

- Types of external discussion that will always be prohibited (e.g. pricing).
- Guidelines on information that can be legitimately exchanged with competitors and what constitutes confidential or commercially sensitive information.
- Guidelines for the proper conduct of meetings with competitors (or suppliers/ customers).
- Guidelines on direct and indirect price fixing (including re-sale price maintenance, where suitable).
- Guidance on how to deal with complaints from customers and/or suppliers.
- Guidance for dominant companies on the care to be taken while dealing with customers/ suppliers.
- Practical examples of ‘Dos & Don’ts’ along with real-life examples from the company’s business would turn out to be very effective.

#### **Q.7 What are the essential features of a CCP?**

The essential features of a Competition Compliance Programme are:

- Explicit statement of the commitment of senior management to the Compliance Programme.
- Availability of an Enterprise’s Compliance Policy.
- Training and education of employees.
- Compliance manual.
- The main principles of the compliance policy should be set out in simple and plain language that is easily understandable.
- An effective Compliance Policy may include seeking a written undertaking from employees to conduct their business dealings within the compliance framework and taking disciplinary action against employees whose actions result in an infringement of the law.
- The relevant procedures should enable the employees to seek advice on whether a particular transaction complies with competition law and report activities that they suspect infringe the law. These practices should be included in the “best practices” norms of every enterprise.

The enterprises may consider the following as essential elements for devising an effective Compliance Policy:

- An overarching commitment to comply with the Act and regulations, orders and directions issued by the Government and the Commission.
- Placing a duty on all employees and directors to conduct their business dealings within this overall policy and seeking a written undertaking from them to this effect.

- A commitment to take disciplinary action against employees/CEOs/directors/proprietors/partners for intentionally or negligently involving the enterprise in an infringement of the provisions of the Act.

#### **Q.8 How can the commitment of Senior Management be made explicit?**

The support of Senior Management must be visible, active and regularly reinforced. Commitment of senior management must be driven from the topmost level to take responsibility for its implementation. The element of commitment can best be achieved in several ways, including:

- A personal message to staff from the most senior officials in the enterprise stating their commitment to the compliance programme.
- Referring to the compliance policy in the company's 'Mission Statement' or Code of Conduct and Ethics.
- Making adherence to the programme one of the overall objectives of the enterprise.
- Designating a member of senior management team to take overall responsibility (Compliance Officer) for ensuring that the compliance programme is:
  - properly designed
  - regularly monitored
  - effectively implemented
  - reported upon at regular intervals to the Board.

Effectiveness of a Compliance Policy will be enhanced if it is linked to an enterprise's human resource (HR) and disciplinary policy. This would prompt employees to attach seriousness to the compliance issues. Besides, this would reflect the seriousness of the management to compliance, as far as the competition authority is concerned.

Different levels of infringements can be dealt with by increasing levels of sanction, resulting ultimately in dismissal for the most serious infringement.

Competition compliance can also be built into the existing staff appraisal procedures, so that employees are regularly asked to sign a form to confirm that they are not aware of any existing compliance breaches. This will help detect any anti-competitive practices that may exist, at an early stage.

Most of the enterprises have a policy in place for retaining financial information for accounting and tax purposes. Documents relevant to prove the compliance of the enterprise and its employees with competition law provisions will have to be retained for adequate period to save the embarrassment of not being able to defend in case of allegation related to infringement.

Effectiveness of a Compliance Policy will be enhanced if it is linked to an enterprise's Human Resource (HR) and disciplinary policy.

## **Q.9 What is the role of training in a CCP?**

An enterprise should consider having an active training programme that includes instruction by knowledgeable professionals having expertise and experience in corporate compliances. The training should be as practical as possible, including case studies drawn from the enterprise's actual experiences. It should also highlight the consequences of violations.

The objective is to enable all officers and employees to develop capabilities to recognize and identify law-violating activity related to their business. Compliance education must contain sufficient practical explanations/examples on difficult legal concepts and issues. It is, therefore, advisable that enterprises integrate compliance education as part of overall training and education programme of the enterprise.

It is advisable for an enterprise introducing the Compliance Programme for the first time to make the compliance education mandatory for all officers and employees, in respect of the enterprise's compliance policy, purpose of the programme, and compliance measures.

Those enterprises which are effectively operating and implementing the Compliance Programme should regularly revise the programme rather than repeating the same year after year, keeping in view the:

- changes in business environment
- market share
- competition in relevant market
- changes in competition regime

### **Preparing the employees for investigations**

When faced with an inquiry, investigators will interact with the employees responsible for the alleged work. However, employees, in general, should be aware of the possibility of such investigations and must render all possible cooperation to the investigation agency.

### **Identify employees and divisions at risk**

It is necessary to identify the employees and divisions that are likely to be exposed to competition law risks. These can normally be:

- those doing sales and marketing;
- anyone having direct contact with competitors;
- those engaged in setting up and operation of distribution arrangements;
- strategists dealing with combinations.
- Engagement of senior management is a must for the compliance programme to be taken seriously by employees.



## Confidentiality

Unless confidentiality is assured, employees may not turn up to inform about alleged infringement, especially if known people are involved. Contacting the Compliance Officer to inform verbally in the first instance may work towards confidentiality. Documentation has to follow and action taken report also will have to be documented so as to ensure that the issue is not ignored or tacitly approved.

### **Q.10 What is Active Risk Management (ARM) and why is ARM approach to compliance important?**

Compliance Programme is aimed at avoiding or minimizing the risk of infringement/ non-compliance, and all its consequences for an enterprise.

As the law evolves, procedures and regulations are regularly streamlined and views and outlook on issues change. A static policy towards risk management through Compliance Programme may hence not serve the purpose; it may even turn out to be counter-productive.

A dynamic environment necessitates active risk management. What was consistent with the competition law yesterday may be declared inconsistent today; or the conditions under which behaviour is considered consistent today may become inconsistent under different conditions tomorrow. Therefore, an active risk management is called for. This is all the more important in the case of agreements.

#### **Active risk management in the case of agreements**

- It is important to keep a record of all the agreements signed by the company and assessed for competition compatibility. The risk from an agreement found violating provision of the Act by the Commission may be very costly for the enterprise.
- There should be a time table for review of the status of the agreement from competition angle. There should be a system for reminding the officials concerned about this. The responsibility could be entrusted to a senior executive of the commercial division since the risk is most felt by the commercial wing.
- Marketing/sales/procurement departments should liaise with the legal department. Every agreement on record should be subjected to competition review every three to five years. For very large enterprises, such review could be on yearly basis.
- When such active risk management is not found feasible in-house, assistance of specialized external agencies should be sought.

An effective Compliance Programme may also include a system of audit. At the time of the start of the Compliance Programme, an internal audit of procedures and documents, including email, may be introduced. This may be repeated at intervals to ascertain if the policy is working. The nature of such audit will have to be tailored to the nature of the enterprise concerned.

While auditing the procedures, documents and emails of each and every employee may be a herculean task, it would be always possible to identify those individuals who are most at risk and to conduct an audit of a “snapshot” of their e-mails on a given day. External legal advisers could be employed to do such auditing to avoid embarrassment to the employees concerned while auditing their correspondence/email.

#### **Q.11 Is it essential to evaluate and review the CCP?**

Enterprises are advised to ensure that the Compliance Programme represents current best practices, remains relevant, comprehensive and effective. Periodic evaluation of Compliance Programme is suggested to keep it relevant. The process may include evaluation of individual employees’ knowledge of law, policy and procedures. Adherence to compliance policy could also be used as one of the criteria for individual’s and department’s/division’s performance appraisal. It is important to ensure that the evaluation process remains as transparent and open as possible.

The evaluation should also include as to whether the Compliance Programme achieves expected results, and whether the system is appropriate and effective. The evaluation findings should be appropriately reflected in the overall operational system, including compliance monitoring, education programs, and the compliance manual.

It is worth emphasizing that evaluating implementation of Compliance Programme depends on motivation for compliance, impetus of leadership, distribution of authority and responsibility, support of human and physical resources, and communication within the enterprise. The enterprises are, therefore, advised to set evaluation criteria conforming to their compliance policy.

#### **Q.12 What are the performance indices for evaluation of CCP?**

The enterprises may also consider devising performance indices to evaluate the Compliance Programme. An illustrative list of performance indices may include:

- How well are all the officers and employees aware of the Chief Executive’s determination and commitment as regards compliance?
- Do officers and employees have a clear understanding of what kind of conduct violates competition law?
- Do officers and employees properly recognize the ‘dos and don’ts’ of preventing violations of law?
- Is compliance accountability accurately perceived at all levels of management?
- To what extent do the enterprise’s business practices conform to the provisions of competition law and other related regulations?
- How high is the enterprise’s level of conformity compared to other enterprises engaging in the same business activities?

- How many violations took place and how serious were they?
- What kind of corrective action was taken against those violations, and how effective have they been?
- How often internal monitoring is carried out and has the monitoring proved effective in preventing and detecting violations of law?
- To whom and to what extent is compliance education provided, and how effective are education programs?

**Q.13 What care should be taken by executives/employees while dealing with Trade Associations?**

Executives/employees of enterprises should avoid discussing the following topics while dealing with trade associations and/or with competitors:

- Past, current or future prices
- What constitutes a ‘fair profit level’
- Pricing policy and actual costs of individual enterprises
- Possible increase or decrease in prices
- Standardization or stabilization of prices
- Bidding prices for projects
- Collusive tendering (bid rigging)
- Standardization of credit and trade terms
- Control of production
- Division or allocation of markets
- Select customers to deal or not to deal because of the above reasons
- Control of supply in the market

**Q.14 What is the role of Compliance Officer?**

In order to ensure effectiveness of Compliance Programme, it is desirable that a Compliance Officer with appropriate delegation of authority be appointed to enforce the Compliance Programme.

- The Compliance Officer should preferably be an independent professional with expertise and core competency in compliance and compliance management.
- He should be a focal point and in charge of designing a program, motivating officers and employees, managing any accompanying administrative/ organizational issue, preparing compliance manual, and auditing compliance.

### **Q.15 How is the Compliance Manual important?**

To facilitate compliance, the enterprises should develop a Compliance Manual and distribute it to their officers and employees as detailed guidelines for compliance with the provisions of the Act:

- The manual should incorporate the features set out above and contain up-to date information regarding its business(es), its operational environment, and relevant competition regimes.
- It is necessary that the manual incorporates full, relevant and correct information and is properly distributed.
- The Compliance Manual should be developed, distributed and implemented under the overall supervision of Compliance Officer.
- In-charge(s) of Departments/Divisions should be put under obligation to inform the Compliance Officer of any changes in the business environment and market scenario that may have bearing on compliance, including the opinion of subordinates concerning the Compliance Manual.
- The Enterprises are advised to constitute a Compliance Committee comprising senior management, with ultimate responsibility of overseeing the Compliance Programme, including conducting periodic review of its effectiveness.

### **For Reference:**

The Commission has published a ‘Compliance Manual for Enterprises’ which can be used by business enterprises for aligning their internal processes with the requirements of competition law. It can be downloaded from the Commission’s website [www.cci.gov.in](http://www.cci.gov.in).

## **Competition Compliance Programme check list**

- Compliance Programme will have to be tailor-made for each enterprise, though number of elements will be similar
- Compliance Officer: Identify senior management personnel to oversee the implementation and monitoring of compliance programme
- Regular and adequate training on points of law as well as in identifying potential violations
- Have a comprehensive compliance manual, intelligible to employees in general. It should contain useful illustrations
- Every enterprise should have a guidance or clearance procedure for situations where there may be doubt about possible course of action by employees for fear of violation of competition provisions
- Agreements will invariably have to be processed in consultation with the legal department to ensure that the provisions therein are consistent with the provisions of Act. These should be reviewed periodically from the competition angle
- Employees should be educated about the use of language while communicating, whether it be verbal or written. Special care should be taken to ensure that the language used in email communication is appropriate
- Ensure a proper system of recording/minuting of meetings and other events that may serve as evidence of non-participation in anti-trust practices by the enterprise or its employees
- Compliance Programme should be suited to the situation in all countries where the enterprise is operating
- Active/dynamic risk management programme should be an essential element of the Compliance Programme
- It would be advisable to integrate the CCP into the overall compliance programmes of the enterprise

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## **HOW TO FILE INFORMATION?**

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## HOW TO FILE INFORMATION?

### Who can file the information?

Any person, consumer or their association or trade association can file Information before the Commission.

Central Government, a State Government, or a statutory authority can also make a reference to the Commission for making an inquiry.

“Person” includes an individual, Hindu Undivided Family (HUF), firm, company, local authority, corporation, co-operative society or any artificial juridical person.

### What are the issues on which information can be filed?

- The Information can be filed on the issues like anti-competitive agreements (including cartelisation) and abuse of dominant position.

### What are the specific provisions in the Act on anti-competitive agreements?

- As per Section 3(1) of the Act, no enterprise or associations of enterprises or person or association of persons shall enter into any agreement in respect of production, supply, distribution, storage, acquisition or control of goods or provision of services, which causes or is likely to cause an appreciable adverse effect on competition (AAEC) within India.
- Any agreement entered into in contravention of the above provisions shall be void [Section 3 (2)].
- As per Section 3(3) of the Act, any agreement entered into between enterprises or associations of enterprises or persons or associations of persons or between any person and enterprise or practice carried on, or decision taken by, any association of enterprises or association of persons, including cartels, engaged in identical or similar trade of goods or provision of services, which-
  - directly or indirectly determines purchase or sale price;
  - limits or controls production, supply, markets, technical development, investment or provision of services;
  - shares the market or source of production or provision of services by way of allocation of geographical area of market, or type of goods or services, or number of customers in the market or any other similar way;
  - directly or indirectly results in bid rigging or collusive bidding; shall be presumed to have an appreciable adverse effect on competition.
- Provided that an enterprise or association of enterprises or a person or association of persons, though not engaged in identical or similar trade, shall also be presumed to be part of the agreement under this sub-section, if it participates or intends to participate, in furtherance of such agreement.

- As per Section 3(4) of the Act, any agreement amongst enterprises or persons, including but not restricted to agreement amongst enterprises or persons at different stages or levels of the production chain in different markets, in respect of production, supply, distribution, storage, sale or price of or trade in goods or provision of services including-
  - (a) tie-in arrangement,
  - (b) exclusive dealing agreement
  - (c) exclusive distribution agreement,
  - (d) refusal to deal,
  - (e) resale price maintenance
 shall be an agreement in contravention of Section 3(1) if such agreement causes or is likely to cause an appreciable adverse effect on competition in India.
 

Provided that nothing contained in Section 3(4) shall apply to an agreement entered into between an enterprise and an end consumer.
- Section 3(5) describes certain exceptions to Section 3 of the Act, inter alia, related to Intellectual Property Right (IPR) Laws.

#### **What are the specific provisions in the Act on abuse of dominant position?**

- No enterprise or group shall abuse its dominant position [Section 4(1)].
- As per Section 4(2) of the Act, there shall be an abuse of dominant position, if any enterprise or a group:-
  - (a) directly or indirectly, imposes unfair or discriminatory —
    - (i) condition in purchase or sale of goods or services; or
    - (ii) price in purchase or sale (including predatory price) of goods or service,
  - (b) limits or restricts —
    - (i) production of goods or provision of services or market therefor; or
    - (ii) technical or scientific development relating to goods or services to the prejudice of consumers; or
  - (c) indulges in practice(s) resulting in denial of market access in any manner, or
  - (d) makes conclusion of contracts subject to acceptance by other parties of supplementary obligations which, by their nature or according to commercial usage, have no connection with the subject of such contracts; or
  - (e) uses its dominant position in one relevant market to enter into, or protect other relevant market.



## **How to file information before the Commission?**

### **Name of the Informant and Opposite Parties to be mentioned:**

- Informant's postal address, telephone number and E-mail ID.
- Name and address of the Informant's counsel or authorised representative, if any.
- Name, address and contact details of the person(s) and/ or enterprise(s) alleged to have contravened the provisions of the Act.

### **Text of Information:**

- The Information is to be in the form of statement of facts, containing details of the alleged contraventions of the Act.
- A complete list enlisting all documents, affidavits and evidence in support of each of the alleged contraventions, may also be furnished. A succinct narrative in support of the alleged contraventions would help the Commission examine the case expeditiously and in its right perspective.
- Relief sought from the Commission.
- Date on which the cause of action has arisen.
- Similar case/ facts that have been dealt with by the Commission in the past to be mentioned.
- Confidential portions of the Information to be highlighted.
- Information along-with the appendices and attachments to be complete and duly verified by the Informant before submission to the Commission, through an Affidavit.
- The Information filed should be signed by the Informant (Sole Proprietor of a proprietorship firm, the Karta in the case of an HUF, the Managing Director and in his or her absence, any Director or any other employee, duly authorised by the Board of Directors in the case of a company, the President or the Secretary or any other authorised employee in the case of an Association or Society or similar body or the person so authorised by the legal instrument that created the association or the society or the body, a partner in the case of a Partnership Firm or any employee duly authorised by the partnership firm, the Chief Executive Officer or any employee/ officer thereof duly authorised by the Board in the case of a co-operative society or a local authority, and, in the case of any other person, by that person or by some person duly authorised to act on his behalf).
- Counsel to append his/ her signature to the Information or reference, as the case may be, along with the supporting authority letter/ vakalatnama, in this regard.
- Interlocutory application seeking condonation of delay in filing of the Information, if required.
- Interlocutory application seeking interim relief, if any, required

### **Whom to address and where to file?**

- Information or reference or all further communications in respect thereof should be sent to the Secretary, in person or by registered post or courier service or fax addressed to the Secretary or

to the authorised officer.

- Any separate or additional document(s) relied upon in support of the Information or reference, should be filed in the form of a “Paper Book”, within 14 days of filing the Information or reference. Such documents need to be serially numbered, prefaced by an index and should be supported by an Affidavit.
- All Information or references or responses or other documents which are required to be filed before the Commission should be typed in Arial 12 fonts on both side of A4 size (210 x 297mm or 8.27” x 11.69”) white bond paper in double space with 2” margin on the left and 1” margin on all other sides. No filings shall be allowed to be made upon letterheads of any person.
- Only neat and legible photocopies or scanned documents duly certified as true copies may be filed as exhibits or annexures.
- Two copies of each document, in addition to an electronic copy in pdf format, wherever possible, should be filed (one original and one copy).

### **What are the fees to be paid?**

- The Information you file with the Commission should be accompanied by proof of having paid the fee as under: -
- ₹6,000 (six thousand) in case of individual or Hindu Undivided Family (HUF),
- ₹12,000 (twelve thousand) in case of Non-Government Organisation (NGO), or Consumer Association, or a Co-operative Society, or Trust,
- ₹50,000 (fifty thousand) in case of Firm (including Proprietorship, Partnership or Limited Liability Partnership) or Company (including One Person Company) having turnover in the preceding year up to rupees two crores,
- ₹1,25,000 (one lac twenty-five thousand) in case of Firm (including Proprietorship, Partnership or Limited Liability Partnership) or Company (including One Person Company) having turnover in the preceding year exceeding rupees two crore and up to rupees 50 crore,
- ₹6,00,000 (six lacs) in the cases not covered above.
- For each interlocutory application, the following fees should be paid:
  - ₹ 500 (five hundred) in case of individual or HUF,
  - ₹ 1,000 (one thousand) in case of Non-Government Organisation (NGO), or Consumer Association, or a Co-operative Society, or Trust,
  - ₹1,000 (one thousand) in case of Firm (including Proprietorship, Partnership or Limited Liability Partnership) or Company (including One Person Company) having turnover in the preceding year up to rupees two crore,
  - ₹ 5,000 (five thousand) in all other cases.
- For each miscellaneous application, the following fees should be paid:

- ₹ 3,000 (three thousand) in case of individual or HUF,
- ₹ 6,000 (six thousand) in case of Non-Government Organisation (NGO), or Consumer Association, or a Co-operative Society, or Trust,
- ₹25,000 (twenty-five thousand) in case of Firm (including Proprietorship, Partnership or Limited Liability Partnership) or Company (including One Person Company) having turnover in the preceding year upto ₹ two crores,
- ₹ 60,000 (sixty thousand) in case of Firm (including Proprietorship, Partnership or Limited Liability Partnership) or Company (including One Person Company) having turnover in the preceding year exceeding 2 crore and up to ₹ 50 crore,
- ₹ 3,00,000 (three lacs) in the cases not covered above.

### **How to pay the fee?**

The fee can be paid either by tendering demand draft or banker's cheque, payable in favour of *Competition Commission of India (Competition Fund)*, New Delhi or through NEFT/RTGS/IMPS mode to the **Competition Commission of India (Competition Fund)** Account in: -

#### **either**

Account No. 1988002100187687, IFSC Code-PUNB0198800 with Punjab National Bank, Bhikaji Cama Place, New Delhi- 110066

#### **or**

Account No. 510131000002673, IFSC Code-UBIN0903736 with Union Bank of India, Bhikaji Cama Place, New Delhi- 110066.

**For Assistance:** In case of any assistance, please contact Secretariat of the Commission (+91-11-24664100/[secy@cci.gov.in](mailto:secy@cci.gov.in)). Enquiries relating to filing under Sections 3 or 4 of the Act and under Sections 5 and 6 of the Act can be made at [atdregistry@cci.gov.in](mailto:atdregistry@cci.gov.in) and [combination@cci.gov.in](mailto:combination@cci.gov.in), respectively.

Contact Us page of the Commission can be accessed at <https://www.cci.gov.in/contact-us-0> for further information.

### **For Reference:**

- For the details of the procedures related to inquiry and investigations, updated General Regulations may be referred to for filing Information. (also available on the Commission's website [www.cci.gov.in](http://www.cci.gov.in)).

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## **CARTELS**

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# CARTELS

## Introduction

The Act follows the philosophy of modern competition laws and aims at fostering competition and protecting Indian markets against anti-competitive practices by enterprises. The Act prohibits anti-competitive agreements, abuse of dominant position by enterprises and regulates combinations (mergers, amalgamations and acquisitions) with a view to ensure that there is no adverse effect on competition in India.

The Act prohibits any agreement that causes, or is likely to cause, an appreciable adverse effect on competition in markets within India. Any such agreement is void.

An agreement may be horizontal *i.e.* between enterprises, persons, associations, *etc.* engaged in identical or similar trade of goods or provision of services, or it may be vertical *i.e.* amongst enterprises or persons at different stages or levels of the production chain in different markets, or even between two completely unrelated entities.

Cartelisation is one of the horizontal agreements that is presumed to have an appreciable adverse effect on competition and is violative of Section 3 of the Act. Pursuant to the 2023 amendment, this presumption is no longer limited to enterprises or associations engaged in identical or similar trade. It now expressly extends to any enterprise, association of enterprises or persons, even if not engaged in identical or similar trade, provided such entity participates or intends to participate in furtherance of the agreement.

## What is a cartel?

Cartel is defined in Section 2 (c) of the Act:

“Cartel” includes an association of producers, sellers, distributors, traders or service providers who, by agreement amongst themselves, limit, control or attempt to control the production, distribution, sale or price of, or, trade in goods or provision of services.

Cartels are agreements between persons or enterprises or their associations not to compete on price, product (including goods and services), customers or market. The Act gives a detailed definition of an enterprise in Section 2(h). The objective of a cartel is to raise price above competitive levels, resulting in injury to consumers and to the economy. For the consumers, cartelisation results in higher prices, poor quality and less or no choice for goods or/and services.

A cartel is said to exist when two or more persons or enterprises enter into an explicit or implicit agreement to fix prices, to limit production or supply, to allocate market or sales quotas, or to engage in collusive bidding or bid-rigging in one or more markets. An important dimension in the definition of a cartel is that it requires an agreement between competing enterprises not to compete or to restrict competition.

An **international cartel** is said to exist, when not all of the enterprises in the cartel are based in the same country or when the cartel affects markets of more than one country.

An **import cartel** comprises enterprises (including an association of enterprises) that get together for the purpose of imports into the country.

An **export cartel** is made up of enterprises based in one country with an agreement to cartelise markets in other countries.

### **Extra - Territorial Reach**

Anti-competitive activities, including cartels, taking place outside India but having effect on competition in a relevant market in India would fall within the ambit of the Act and can be inquired into by the Commission. The Act thus, has extra territorial reach (Section 32).

### **Cartels - Presumed Injurious**

Agreements between persons or enterprises engaged in identical or similar trade of goods or provision of services, or persons/ associations of persons participating or intending to participate in furtherance of such agreements (commonly known as horizontal agreements), including cartels, of the four types specified in Section 3(3) the Act, are presumed to have an appreciable adverse effect on competition within India, and, therefore, are anti-competitive in nature and thus, are void.

However, horizontal agreements of the four types mentioned in the preceding paragraphs, entered into by way of joint-ventures, are not presumed to have an appreciable adverse effect on competition and are excluded from the above provisions of Section 3(3) of the Act, if they increase efficiency in production, supply, distribution, storage, acquisition or control of goods or provision of services.

Agreements other than those covered by Section 3(3) of the Act, including:

- tie-in arrangement
- exclusive dealing arrangement
- exclusive distribution agreement
- refusal to deal
- resale price maintenance

would not be presumed to have an appreciable adverse effect on competition, and would be evaluated by the Commission based on facts using the 'rule of reason' approach.

Further, a proviso has been inserted in Section 3(4) *vide* the 2023 amendment stating that nothing in this sub-section shall apply to an agreement entered into between an enterprise and an end consumer.

### **Common Characteristics of Cartels**

- Usually cartels operate in secrecy.
- The members of a cartel, by and large, seek to camouflage their activities to avoid detection by

the Commission.

- Perpetuation of cartels is ensured through retaliation threats. If any member cheats, the cartel members retaliate through temporary price cuts to take business away and can isolate the cheating member.
- Another method, known as compensation scheme, is resorted to in order to discourage cheating. Under this scheme, if a member of a cartel is found to have sold more than its allocated share, it would have to compensate the other members.

### Conditions Conducive to Formation of Cartels

If there is effective competition in the market, cartels would find it difficult to be formed and sustained. Some of the conditions that are conducive to cartelisation are:

- high **concentration** - few competitors
- high entry and exit **barriers**
- **homogeneity** of the products (similar products)
- similar production **costs**
- excess **capacity**
- high **dependence** of the consumers on the product
- **history** of collusion
- **active** trade association

### Inquiry into Cartels

In exercise of powers vested under Section 19 of the Act, the Commission may inquire into any alleged contravention of the provisions of Section 3 of the Act, which *inter alia*, proscribes cartels.

The Commission, on being satisfied that there exists a *prima facie* case of ‘cartel’, shall direct the Director General to cause an investigation and furnish a report. The Commission has the powers vested in a Civil Court under the Code of Civil Procedure, 1908 in respect of matters like summoning or enforcing attendance of any person and examining him on oath, requiring discovery and production of documents and receiving evidence on affidavit. The Director General, for the purpose of carrying out investigation, is also vested with similar powers besides powers to conduct ‘search and seizure’.

*Note: For the details of the procedures related to inquiry and investigations, please refer to Competition Commission of India (General) Regulations, 2024 dated September 17, 2024 (also available on the Commission’s website [www.cci.gov.in](http://www.cci.gov.in))*

## **Powers of the Commission**

The Commission is empowered to inquire into any cartel, and to impose on each member of the cartel, a monetary penalty. In case an enterprise is a ‘company’, its directors/officials who are guilty, are also liable to be proceeded against and penalised.

In addition, the Commission has the power to pass, *inter alia*, any or all of the following orders (Section 27):

- direct the parties to a cartel agreement to discontinue and not to re-enter such agreement;
- direct the parties concerned to modify the agreement;
- direct the parties concerned to abide by such other orders as the Commission may pass and comply with the directions, including payment of costs, if any; and
- pass such other order or issue such directions as it may deem fit.

## **Penalty**

The Commission may impose such penalty as it deems fit. The penalty can be up to 10% of the average global turnover for the last three preceding financial years upon each of the persons or enterprises which are parties to the cartel. The Commission may also impose upon each producer, seller, distributor, trader or service provider included in the cartel, a penalty of up to 3 times of its profit for each year of the continuance of the cartel or 10% of its global turnover for each year of the continuance of the cartel, whichever is higher. The penalty can therefore be severe, and result in heavy financial and other costs on the erring party.

## **Lesser Penalty (Leniency Scheme)**

Section 46 of the Act empowers the Commission to grant leniency by levying a lesser penalty on a member of the cartel who provides full, true and vital information regarding the cartel. Further, the Commission is also empowered to grant further leniency by giving additional discounts in penalties to members of the cartel, who disclose another new cartel, to the Commission (‘Leniency Plus’). The scheme is designed to induce members to help in detection and investigation of cartels. This scheme is based on the premise that successful prosecution of cartels requires evidence supplied by a member of the cartel. Similar leniency and leniency plus schemes have proved very helpful to competition authorities of foreign jurisdictions in successfully proceeding against cartels. The Commission has notified the Competition Commission of India (Lesser Penalty) Regulations, 2024 laying the process, procedure and methodology for granting leniency and leniency plus to the cartel members who break the ranks of the cartel and become helpful to the Commission and are instrumental in busting the alleged cartels.

*Note: For the details of the conditions for lesser penalty, please refer to Competition Commission of India (Lesser Penalty) Regulations, 2024 dated February 20, 2024 (also available on the Commission’s website -[www.cci.gov.in](http://www.cci.gov.in))*



## **Interim Order**

Under Section 33 of the Act, during the pendency of an inquiry, the Commission may, *inter alia*, temporarily restrain any party from continuing with the alleged contravention, until conclusion of the inquiry or until further orders, without giving notice to such party, where it deems necessary.

*Note: For the details of the procedures related to interim orders, please refer to CCI (General) Regulations, 2024 specified dated September 17, 2024 (also available on the Commission's website [www. cci.gov. in](http://www.cci.gov.in))*

## **Appeal**

The National Company Law Appellate Tribunal (NCLAT), is empowered under Section 53A of the Act, to hear and dispose of appeals against any direction issued or decision made or order passed by the Commission under specified sections of the Act.

The NCLAT is also empowered under Section 53N to award compensation for loss suffered on account of contravention of the directions or decision or order of the Commission;

An appeal before NCLAT has to be filed within 60 days of receipt of the order/ direction/ decision of the Commission.

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## **PUBLIC PROCUREMENT & BID RIGGING**

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# **PUBLIC PROCUREMENT & BID RIGGING**

## **Introduction**

Public procurement is the purchase of goods and services by the public sector and is a key economic activity of governments, accounting for on an average of 20-22% of Gross Domestic Product (GDP) of national economies worldwide (*Source PIB e-booklet on Government E-Marketplace 2021*). In India also, government procurement constitutes a significant percentage of the GDP.

Various ministries, departments, municipal and other local bodies, statutory corporations and public undertakings, both at the Centre and at the States, carry out procurement of goods and services.

The primary objective of an effective procurement policy is the promotion of efficiency, *i.e.* selection of a supplier with the lowest price or, more generally, the achievement of the best value for money. Effective public procurement avoids mismanagement and wastage of public funds. Vigorous competition among suppliers helps governments realise these objectives. Conversely, when competition is curtailed – for example, when suppliers engage in Bid Rigging – taxpayers' money is wasted as governments pay more than a fair price.

It is critical that procurement terms and conditions do not unwittingly facilitate collusive arrangements. The formal rules that govern procurement, the way in which bidding is carried out and the design of the bidding process, can all act to hinder competition and help promote or sustain bid rigging.

## **Competition concerns in public procurement**

The competition concerns arising in public procurement are largely the same that can arise in an ordinary market context such as collusive agreements between bidders during bidding. In past, apart from many cases highlighted by the Commission, Comptroller and Auditor General of India (CAG) audit reports, vigilance reports of Central Vigilance Commission (CVC) and various studies have highlighted wide scale prevalence of cartelisation and Bid Rigging in government procurements.

The overarching concern with public procurement is that, at times, formal rules governing public procurement make communication among rivals easier; hence, they can promote collusion among bidders and therefore reduce rivalry, with detrimental effects on the efficiency of the procurement process. In particular, in those instances where entry is difficult and when bidding is not based on a 'winner-takes all' competition, collusion can emerge as easily in auctions and bidding processes as in ordinary economic markets.

It is frequently noticed that the procurement mechanism adopted in most government departments is itself not designed keeping in mind the importance of competition in ensuring efficient outcome. Moreover, in some cases, the mechanism itself is facilitating anti-competitive practices. The peculiarity in case of public procurements is that, due to the regulations and legislations, the officials have limited strategic options to curb such practices. Whereas a private purchaser can choose its purchasing strategy flexibly, the public sector has limited options to respond dynamically to anti-

competitive behaviours owing to strict regulatory/ legislative framework and detailed administrative regulations/ procedures at multiple levels. These rules are set as an attempt to avoid any abuse of discretion by the public sector. However, full transparency of the procurement process and its outcome can promote collusion.

Disclosing information such as the identity of the bidders and the terms and conditions of each bid allows competitors to detect deviations from a collusive agreement, punish those firms and better coordinate future tenders.

An efficient public procurement policy can affect competition in a number of ways:

- (i) Short-term effects on competition amongst potential suppliers *i.e.* effects on the intensity of competition amongst existing suppliers in a particular tender is just one possible effect, but it is not the only one.
- (ii) Apart from immediate impact (loss of public money) of anti-competitive practices, there is a deeper consequence on overall efficiency in the domestic market. Public procurement can have other longer-term effects on competition as public procurement can affect important features of an industry sector (such as the degree of innovation, the level of investment, vertical integration, etc.). This in turn would be reflected in the level of competition in future tenders.

### **Role of competition agency in public procurement**

Reducing collusion in public procurement requires strict enforcement of competition laws and the education of public procurement agencies at all levels of government to help them design efficient procurement processes and detect collusion.

#### **a. Enforcement**

The most direct way for the competition authority to promote competition in public procurement is to identify and correct Bid Riggings through strict law enforcement. By increasing the Bid Rigging detection rate and heavily punishing identified bid-riggers, the competition authority can effectively prevent Bid Rigging as companies will learn that the benefits of Bid Rigging are less than the loss they will suffer once their collusion is identified.

Many jurisdictions have specific prohibitions in their competition laws forbidding Bid Rigging or considering Bid Rigging as a per se violation of the competition rules. Other countries simply base their enforcement practice against Bid Rigging on the general antitrust laws against anti-competitive agreements.

In India, the Act specifically prohibits Bid Rigging or Collusive Bidding (direct or indirect) under Section 3(1) read with Section 3(3)(d) thereof. It is one of the four horizontal agreements that are presumed to have appreciable adverse effect on competition (AAEC) within India.

The Commission is empowered to inquire into such anti-competitive agreements, and to impose penalties on each person or enterprise, which is a party to such agreement.

In case an enterprise is a ‘company’, its directors/ officials who are guilty are also liable to be proceeded against and penalised in a similar fashion.

## **b. Advocacy**

Many competition authorities are involved in advocacy efforts to increase awareness of the risks of Bid Rigging in procurement tenders. There are many examples of educational programs to this end. Some authorities have regular Bid Rigging educational programs for procurement agencies; others organise ad hoc seminars and training courses.

These outreach programs have proved extremely useful for a number of reasons:

- they help competition authorities and public procurement officials develop closer working relationships;
- they help educate procurement officials about what they should look for in order to detect Bid Rigging through actual examples of bidding patterns and conduct which may indicate that Bid Rigging is occurring;
- they train procurement officials to collect evidence that can be used to prosecute better and more effectively the Bid Rigging conduct;
- they help educate public procurement officials and government investigators about the cost of Bid Rigging on the government and ultimately on the taxpayers; and
- they warn procurement officials not to participate in Bid Rigging and other illegal conduct which undermines competition in procurement tenders.

## **Bid rigging**

Bidding, as a practice, is intended to enable procurement of goods or services on the most favourable terms and conditions. Invitation of bids is resorted to both by Government (and Government entities) and private bodies (companies, corporations, etc.).

The Explanation to Section 3(3) of the Act defines “bid rigging” as “any agreement, between enterprises or persons referred to in sub-section (3), engaged in identical or similar production or trading of goods or provision of services, which has the effect of eliminating or reducing competition for bids or adversely affecting or manipulating the process for bidding.”

Bid Rigging, *inter alia*, takes place when bidders collude and keep the bid amount at a pre-determined level. Such pre-determination is by way of intentional manipulation by the members of the bidding group. Bidders could be actual or potential ones, but they collude and act in concert.

Bid Rigging or Collusive Bidding is one of the horizontal agreements that is presumed to have an appreciable adverse effect on competition, under Section 3 of the Act. Such Collusive Bidding or Bid Rigging contravenes the very purpose of inviting tenders and is inherently anti-competitive.

Collusive Bidding or Bid Rigging may occur in various ways. Some of the most commonly adopted ways are:

- agreements to submit identical bids or agreements as to who shall submit the lowest bid or agreements for the submission of cover bids (voluntarily inflated bids),
- agreements not to bid against each other,
- agreements on common norms to calculate prices or terms of bids,
- agreements to squeeze out outside bidders,
- agreements designating bid winners in advance on a rotational basis, or on a geographical or customer allocation basis,
- agreement as to the bids which any of the parties may offer at an auction or any agreement through which any party agrees to abstain from bidding for any auction, which eliminates or distorts competition.

Inherent in some of these agreements, is a compensation system to the unsuccessful bidders, by dividing a certain percentage of profits of successful bidders.

If Bid Rigging takes place in Government tenders, it is likely to have severe adverse effects on purchase and on public spending.

Bid Rigging or Collusive Bidding is treated with severity in the law. The presumptive approach, as in the case of cartels, reflects the severe treatment.

### **Forms of Bid Rigging**

Bid Rigging may take many forms, but most Bid Rigging conspiracies usually fall into one or more of the following categories:

- **Bid Suppression**

In Bid Suppression schemes, one or more suppliers who otherwise would be expected to bid, or who have previously bid, agree to refrain from bidding or withdraw a previously submitted bid so that the designated winning competitor's bid will be accepted.

- **Complementary Bidding**

Complementary Bidding (also known as 'cover' or 'courtesy' bidding) occurs when some suppliers agree to submit bids that are either too high to be accepted or contain special terms that will not be

acceptable to the buyer. Such bids are not intended to secure the buyer's acceptance but are merely designed to give the appearance of genuine competitive bidding. Complementary Bidding schemes are the most frequently occurring forms of Bid Rigging, and they defraud purchasers by creating the appearance of competition to conceal secretly inflated prices.

- **Bid Rotation**

In Bid Rotation schemes, suppliers submit bids but take turns to be the lowest bidder. The terms of the rotation may vary; for example, competitors may take turns on contracts according to the size of the contract, allocating equal amounts to each conspirator or allocating volumes that correspond to the size of each conspirator. A strict Bid Rotation pattern defies the law of chance and suggests that collusion is taking place.

- **Subcontracting**

Subcontracting arrangements are often part of a Bid Rigging scheme. Suppliers, who agree not to bid or to submit a losing bid, frequently receive subcontracts or supply contracts in exchange from the successful bidder. In some schemes, a low bidder will agree to withdraw its bid in favour of the next lowest bidder, in exchange for a lucrative subcontract that divides the illegally obtained higher price between them.

Almost all forms of Bid Rigging have one thing in common: an agreement among some or all of the bidders, which predetermines the winning bidder and limits or eliminates competition amongst the conspiring vendors.

### **Factors causing competition distortions**

There are competition distortions caused by government policies and laws which require periodical reviews.

Some such factors causing distortions to fair competition in bids are:

- **Limiting number of suppliers**

The number of suppliers in the procurement process may be limited when procurement rules lay down technical specification in terms of a proprietary product and do not lay down generic specifications.

- **Barriers to entry**

There is a tendency among public procurers to restrict participation to select big and reputed firms. Often this is done to reduce the cost of evaluating bids or to ensure the stability and quality of supply. However, this tendency could raise high entry barriers for new entrants leading to inefficient outcomes.

- **Competitive Neutrality**

Competitive neutrality aims to provide a level playing field to public as well as private entities in the markets. The markets tend to be distorted as a result of structural advantages enjoyed by public entities which may cause distortionary effects on competition.

- **Information Asymmetry**

It has been observed that there is no information available in the public domain suggesting goods or services and their quantum to be procured by the public authorities and sudden decision to procure any good or service strains the existing capacity of supply, which creates a price pull factor often leading to inefficient procurement.

### **Industry, product and service characteristics that help support collusion**

Organisation for Economic Co-operation and Development (OECD) has enlisted various industries and product characteristics that are prone to collusion. These are:

- (i) **Small number of companies:** Bid Rigging is more likely to occur when a small number of companies supply the good or service. The fewer the number of sellers, the easier it is for them to reach an agreement on how to rig bids.
- (ii) **Little or no entry:** When few businesses have recently entered or are likely to enter a market because it is costly, hard or slow to enter, firms in that market are protected from the competitive pressure of potential new entrants. The protective barrier helps support Bid Rigging efforts
- (iii) **Market conditions:** Significant changes in demand or supply conditions tend to destabilise ongoing Bid Rigging agreements. A constant, predictable flow of demand from the public sector tends to increase the risk of collusion. At the same time, during periods of economic upheaval or uncertainty, incentives for competitors to rig bids increase as they seek to replace lost business with collusive gains.
- (iv) **Industry associations:** Industry associations can be used as legitimate, pro-competitive mechanisms for members of a business or service sector to promote standards, innovation and competition. Conversely, when subverted to illegal, anti-competitive purposes, these associations may be used by company officials to meet and conceal their discussions about ways and means to reach and implement a Bid Rigging agreement.
- (v) **Repetitive bidding:** Repetitive purchases increase the chances of collusion. The bidding frequency helps members of a Bid Rigging agreement allocate contracts amongst themselves. In addition, the members of the cartel can punish a cheater by targeting the bids originally allocated to him. Thus, contracts for goods or services that are regular and recurring may require special tools and vigilance to discourage collusive tendering.



- (vi) **Identical or simple products or services:** When the products or services that individuals or companies sell are identical or very similar, it is easier for bidders to reach an agreement on a common price structure.
- (vii) **Few 'if any' substitutes:** When there are few, if any, good alternative products or services that can be substituted for the product or service that is being purchased, individuals or firms wishing to rig bids are more secure knowing that the purchaser has few, if any, good alternatives and thus, their efforts to raise prices are more likely to be successful.
- (viii) **Little or no technological change:** Little or no innovation in the product or service helps firms reach an agreement and maintain that agreement over time.

### **Warning signals of bid rigging**

The following factors are helpful in detecting Bid Rigging:

#### **(i) In Bids**

- The same supplier is often the lowest bidder.
- There is a geographic allocation of winning tenders. Some firms submit tenders and win in only certain geographic areas.
- Regular suppliers fail to bid on a tender they would normally be expected to bid for, but have continued to bid for other tenders.
- Some suppliers unexpectedly withdraw from bidding.
- Certain companies always submit bids but never win.
- Each company seems to take a turn being the winning bidder.
- Two or more businesses submit a joint bid even though at least one of them could have bid on its own.
- The winning bidder repeatedly sub-contracts work to unsuccessful bidders.
- The winning bidder does not accept the contract and is later found to be a sub-contractor.

#### **(ii) In Documents**

- Carefully compare all documents for evidence that suggests that the bids were prepared by the same person or were prepared jointly.
- Identical mistakes/ corrections in the bid documents or letters submitted by different companies, such as spelling errors.
- Bids from different companies contain similar handwriting or typeface or use identical forms or stationery.

- Bid documents from one company make express reference to competitors' bids or use another bidder's letterhead or fax number.
- Bids from different companies contain identical miscalculations.
- Bids from different companies contain a significant number of identical estimates of the cost of certain items.
- The packaging from different companies has similar postmarks or post metering machine marks.
- Bid documents from different companies indicate numerous last-minute adjustments, such as the use of erasers or other physical alterations.
- Bid documents submitted by different companies contain less detail than would be necessary or expected, or give other indications of not being genuine.
- Bid documents submitted by different entities through same IP address.
- EMDs have been submitted by various bidders from the same financial institution.
- Bids submitted without proper documentation indicating Cover Bidding.
- Bids submitted in close time proximity to each other.

### **(iii) In Bid Pricing**

Bid prices can be used to help uncover collusion. When other bids are much higher than the winner's bid, bidders may be using a Cover Bidding scheme. Bid prices that are higher than the engineering cost estimates or higher than prior bids for similar tenders may also indicate collusion.

The following may be considered suspicious:

- Sudden and identical increases in price or price ranges by bidders that cannot be explained by cost increases.
- Anticipated discounts or rebates disappear unexpectedly.
- Identical pricing can raise concerns especially when one of the following is true:
  - Prices remain the same over a long period, though the market or the tender terms have changed,
  - When prices were previously different, but suddenly identical prices have been quoted,
  - Suppliers increased price that is not justified by increased costs, or

- Suppliers eliminated discounts, especially in a market where discounts were historically given.
- A large difference between the price of a winning bid and other bids.
- A certain supplier's bid is much higher for a particular contract than that supplier's bid for another similar contract.
- There are significant reductions from past price levels after a bid from a new or infrequent supplier, *i.e.*, the new supplier may have disrupted an existing bidding cartel.
- Local suppliers are bidding higher prices for local delivery than for delivery to destinations farther away.
- Local and non-local companies specify similar transportation costs.
- Only one bidder contacts wholesalers for pricing information prior to a bid submission
- Unexpected features of public bids in an auction, electronic or otherwise, such as offers including unusual numbers where one would expect a rounded number of hundreds or thousands may indicate that bidders are using the bids themselves as a vehicle to collude by communicating information or signaling preferences.

#### **(iv) In the Statements of Bidders**

When working with vendors, watch carefully for suspicious statements that suggest that companies may have reached an agreement or coordinated their prices or selling practices.

#### **(v) In the Behaviour of Bidders**

Look for references to meetings or events at which suppliers may have an opportunity to discuss prices, or behaviour that suggests a company is taking certain actions that benefit other firms.

Forms of suspicious behaviour could include the following:

- Suppliers meet privately before submitting bids, sometimes near the location where bids are submitted.
- Suppliers regularly socialise together or appear to hold regular meetings.
- A company requests a bid package for itself and a competitor.
- A company submits both its own and a competitor's bid and bidding documents.
- A company that is incapable of successfully completing the contract submits a bid.
- A company refrains from submitting a bid despite being an active player in the market.

- A company brings multiple bids to a bid opening and chooses which bid to submit after determining (or trying to determine) who else is bidding.
- Several bidders make similar enquiries to the procurement agency or submit similar requests or materials.

### **Additional check-list for detecting bid rigging:**

#### **Be alert for:**

- Opportunities that bidders have to communicate with each other.
- Relationships among bidders (e.g. JVs and sub-contracting or having common personnel).
- Suspicious bidding patterns and pricing patterns (e.g. unexpectedly high prices or unexpectedly low discounts).
- Unusual behaviour (e.g. unjustified withdrawal from tender, submitting the bid without required info).

In order to avoid Bid Rigging, a check-list can be devised for designing tenders, which can be used by PSUs and State agencies. Such a check-list can be on the following lines:

- Learn about the market and suppliers
- Maximise participation of potential bidders
- Define requirements clearly and avoid predictability
- Reduce communication among bidders

### **Use Certificates of Independent Bid Determination (CIBD) on an affidavit. CIBD typically require each bidder to sign a statement under oath that:**

- it has not agreed with its competitors about bids,
- it has not disclosed bid prices to any of its competitors,
- it has not agreed to join or collude with others in any form which could lead to Bid Rigging in any form or manner whatsoever, and
- it has not attempted to convince a competitor to rig bids.

### **Inquiry into bid rigging**

Similar to cartels, in exercise of the powers vested under Section 19 of the Act, the Commission may inquire into any alleged contravention under Section 3(3) of the Act that proscribes Bid Rigging, and impose penalties similar as in the case of cartels.

## **Methodology to reduce the risk of bid rigging**

### **(i) Gather all Relevant information of the Product/ Service**

- Be aware of the characteristics of the market from which one will purchase and recent industry activities or trends that may affect competition for the tender.
- Determine whether the market in which one will purchase has characteristics that make collusion more likely.
- Collect information on potential suppliers, their products, their prices and their costs. If possible, compare prices offered in B2B procurement.
- Collect information about recent price changes. Inform oneself about prices in neighboring geographic areas and about prices of possible alternative products.
- Collect information about past tenders for the same or similar products.
- Coordinate with other public sector procurers and clients who have recently purchased similar products or services to improve your understanding of the market and its participants.
- If one uses external consultants to help estimate prices or costs, ensure that they have signed confidentiality agreements.

### **(ii) Encourage Participation of Maximum Potential Bidders**

- Avoid unnecessary restrictions that may reduce the number of qualified bidders. Specify minimum requirements that are proportional to the size and content of the procurement contract. Do not specify minimum requirements that create an obstacle to participation, such as control on the size, composition, or nature of firms that may submit a bid.
- Note that requiring large monetary guarantees from bidders as a condition for bidding may prevent otherwise qualified small bidders from entering the tender process. If possible, ensure amounts are set only so high as to achieve the desired goal of requiring a guarantee.
- Reduce constraints on foreign participation in procurement, whenever possible.
- To the extent possible, qualify bidders during the procurement process in order to avoid collusive practices amongst a pre-qualified group and to increase the amount of uncertainty amongst firms regarding the number and identity of bidders. Avoid a very long period of time between qualification and award, as this may facilitate collusion.
- Reduce the preparation costs of the bid. This can be accomplished in a number of ways:
  - By streamlining tendering procedures across time and products (e.g. use the same application forms, ask for the same type of information, etc.).

- By packaging tenders (*i.e.* different procurement projects) to spread the fixed costs of preparing a bid.
- By keeping official lists of approved contractors or certification by official certification bodies.
- By allowing adequate time for firms to prepare and submit a bid. For example, consider publishing details of pipeline projects well in advance using trade and professional journals, websites or magazines.
- By using an electronic bidding system, if available.
- Whenever possible, allow bids on certain lots or objects within the contract, or on combinations thereof, rather than bids on the whole contract only.
- Do not disqualify bidders from future competitions or immediately remove them from a bidding list if they fail to submit a bid on a recent tender.
- Be flexible about the number of firms from whom you require a bid. For example, if you start with a requirement for 5 bidders but receive bids from only 3 firms, consider whether it is possible to obtain a competitive outcome from the 3 firms, rather than insisting on a re-tendering exercise, which is likely to make it all the clearer that competition is scarce.

### **(iii) Train Staff**

- Implement a regular training program on Bid Rigging and cartel detection for your staff, with the help of the competition agency or external legal consultants.
- Store information about the characteristics of past tenders (e.g., product purchased, each bid, and the identity of the winner).
- Periodically review the history of tenders for particular products or services and try to discern suspicious patterns, especially in industries susceptible to collusion.

### **(iv) Adopt a policy to review selected tenders periodically**

- Undertake comparison checks between lists of companies that have submitted an expression of interest and companies that have submitted bids to identify possible trends such as bid withdrawals and use of sub-contractors.
- Conduct interviews with vendors who no longer bid on tenders and unsuccessful vendors.
- Whistleblower Protection: Establish a complaint mechanism for firms to convey competition concerns. For example, clearly identify the person or the office to which complaints must be submitted (and provide their contact details) and ensure an appropriate level of confidentiality.

- Make use of mechanisms, such as a whistleblower system, to collect information on Bid Rigging from companies and their employees. Consider launching requests in the media to invite companies to provide the authorities with information on potential collusion.
  - Establish internal procedures that encourage or require officials to report suspicious statements or behaviour to the competition authorities in addition to the procurement agency's internal audit group and comptroller, and consider setting up incentives to encourage officials to do so.
  - Establish cooperative relationships with the competition authority.
- (v) Define requirements of procurement clearly (so as not to leave any room for the suppliers to define key terms to their own advantage).**
- (vi) Criteria for evaluating tender should be such that facilitates participation by maximum number of bidders in the bidding process, especially the small and medium level bidders.**

#### **Steps procurement officials should take in case of suspected bid rigging**

- Have a working understanding of the Act and other related laws/ rules dealing with public procurement.
- Do not discuss one's concerns with suspected participants.
- Keep all documents, including bid documents, correspondence, envelopes, etc.
- Keep a detailed record of all suspicious behaviour/ events/ statements.
- After consulting with your internal legal staff, consider whether it is appropriate to proceed with the tender offer.
- File a formal reference with the Commission.

#### **Diagnostic Toolkit for Public Procurement Officials.**

The Commission has published a 'Diagnostic Toolkit for Public Procurement Officers' which serves as a practical guide to public procurement officers to help them review their procurement system and its level of competition-efficiency. The Toolkit provides detailed guidelines and recommended best practices towards designing a competition efficient tendering system. The toolkit can be downloaded from Commission's website, [www.cci.gov.in](http://www.cci.gov.in).

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## **ABUSE OF DOMINANCE**

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# **ABUSE OF DOMINANCE**

## **Introduction**

This portion of the reading material addresses the applicability of Section 4 of the Act relating to abuse of dominant position (dominance) by enterprises.

Competition laws all over the world are primarily concerned with the exercise of market power and its abuse.

## **What is Dominance?**

The Act defines dominant position (dominance) in terms of a position of strength enjoyed by an enterprise, in a relevant market in India, which enables it to:

- operate independently of the competitive forces prevailing in the relevant market; or
- affect its competitors or consumers or the relevant market in its favour.

It is the ability of the enterprise to behave/act independently of the market forces that determines its dominant position. In a perfectly competitive market, no enterprise has control over the market, especially in the determination of the price of the product. However, perfect market conditions are more of an economic “ideal” than reality. Keeping this in view, the Act specifies a number of factors that should be taken into account while determining whether an enterprise is dominant or not.

## **Relevant Market**

Dominance has to be assessed in the relevant market which means “the market that may be determined by the Commission with reference to the relevant product market or the relevant geographic market or with reference to both the markets”. The Act defines both the “Relevant Product Market” and the “Relevant Geographic Market” under Section 2(t) and 2(s) of the Act, respectively. The Act lays down several factors of which any one or all may be taken into account by the Commission while defining the relevant market.

Relevant Product Market refers to a market that includes all products or services considered interchangeable or substitutable, either by the consumer based on their characteristics, prices, and intended use, or by producers and suppliers, where switching production or supply between such products or services is feasible in the short term without significant additional cost or risk, given a small but significant non-transitory increase in price (SSNIP). The market for cars, for example, may consist of separate ‘relevant product markets’ for small cars, midsize cars, luxury cars etc., as these are not substitutable with each other when there is a small change in price.

Relevant geographic market is defined in terms of “the area in which the conditions of competition for supply of goods or provision of services or demand of goods or services are distinctly homogenous and can be distinguished from the conditions prevailing in the neighbouring areas”.

## **Factors to determine Dominant Position**

Dominance is assessed in terms of a number of factors that play a role in determining the influence of an enterprise or a group of enterprises in the market. These include:

- market share;
- the size and resources of the enterprise;
- size and importance of competitors;
- economic power of the enterprise;
- vertical integration;
- dependence of consumers on the enterprise;
- extent of entry barriers in the market;
- countervailing buying power;
- market structure and size of the market;
- source of dominant position viz. whether obtained due to statute etc.;
- social costs and obligations and contribution of enterprise enjoying dominant position to the economic development of India.

The Commission is also authorised to take into account any other factor which it may consider relevant for the determination of dominance.

### **Abuse of Dominance**

Dominance is not considered bad *per se* but its abuse is. Abuse is stated to occur when an enterprise or a group of enterprises uses its dominant position in the relevant market in an exclusionary or/and an exploitative manner.

The Act gives a list of practices that shall constitute abuse of dominant position and, therefore, are prohibited. Such practices shall constitute abuse only when adopted by an enterprise enjoying dominant position in a relevant market in India.

Abuse of dominance is assessed in terms of the specified types of acts committed by a dominant enterprise alone or in concert with its group companies. Such acts are prohibited under the law.

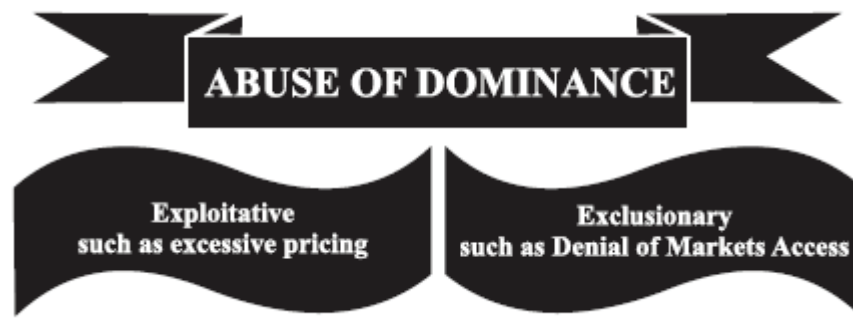
Section 4(2) of the Act specifies the following practices by a dominant enterprise or group of enterprises as abuse:

- (i) directly or indirectly imposing unfair or discriminatory condition in purchase or sale of goods or services, provided that when such condition has been adopted to meet competition in the market, it shall not constitute abuse;
- (ii) directly or indirectly imposing an unfair or discriminatory price in the purchase or sale (including predatory price) of goods or services, provided that when such price has been adopted to meet competition in the market, it shall not constitute abuse;
- (iii) limiting or restricting the production of goods or the provision of services or market;

- (iv) limiting or restricting technical or scientific development relating to goods or services to the prejudice of consumers;
- (v) denying market access in any manner;
- (vi) making finalisation of contracts subject to acceptance by other parties of supplementary obligations which, by their nature or according to commercial usage, have no connection with the subject of such contracts;
- (vii) using dominant position in one relevant market to enter into, or protect, another relevant market.

### **Exploitative and Exclusionary behaviour**

Abuses, as specified in the Act, fall into two broad categories: exploitative (for example unfair or discriminatory conditions or pricing), and exclusionary (for example, denial of market access).



### **Predatory Pricing**

A “predatory price” under the Act means “the sale of goods or the provision of services, at a price which is below the cost, as may be determined by regulations, of production of goods or provision of services, with a view to reduce competition or eliminate the competitors” [Explanation (b) of Section 4] of the Act.

Predation is an exclusionary behaviour and may be a contravention of the provisions of the Act indulged in by an enterprise/ group of enterprises, having a dominant position in the concerned relevant market.

The major elements involved in the determination of predatory behaviour are:

- Establishment of dominant position of the enterprise in the relevant market.
- Pricing below cost for the relevant product in the relevant market by the dominant enterprise [‘Cost’, for this purpose, has been defined in the Competition Commission of India (Determination of Cost of Production) Regulations, 2025 as notified by the Commission].
- With a view to reduce competition or eliminate competitors.

### **Essential Facilities Doctrine**

Barriers to entry faced by new enterprises attempting to enter into the relevant market is a major restraint on the dynamics of competition. When a dominant enterprise in the relevant market controls some of the infrastructure or a facility that is necessary for accessing the market and which is neither easily reproducible at a reasonable cost in the short term nor interchangeable with other products/services, the enterprise may not, without sound justification, refuse to share it with its competitors at reasonable cost. This has come to be known as the essential facility doctrine (EFD). It has been recognised that any application of the EFD should satisfy the following:

- The facility must be controlled by a dominant enterprise in the relevant market;
- Competing enterprises/persons should lack a realistic ability to reproduce the facility;
- Access to the facility is necessary in order to compete in the relevant market; and
- It must be feasible to provide access to the facility.

Subject to such conditions being satisfied and consistent with established competition law principles applicable to the specific case, the Commission may, under the provisions of Section 4(2)(c) of the Act (relating to denial of market access by a dominant enterprise), pass a remedial order under which the dominant enterprise must share the essential facility with its competitors in the downstream markets.

### **IPRs and Abuse of Dominance**

While reasonable use of Intellectual Property Rights (IPRs) stands exempted from the rigors of Section 3 of the Act which relates to anti-competitive agreements, no such derogation is available in case Section 4 of the Act involving of abuse of dominant position by IPRs right holders, in respect of specified abusive acts.

Intellectual Property Rights (IPRs) and competition laws are complementary to each other and focus on same goal, i.e., innovations and general welfare. Therefore, IPRs are covered under competition laws but given special treatment in assessment.

### **Inquiry into Abuse of Dominance**

In exercise of powers vested under Section 19 of the Act, the Commission may inquire into any alleged contravention of Section 4(1) of the Act that proscribes abuse of dominance. For determination of the ‘relevant market’ in which abuse is taking place, the Commission shall have due regard to all or any of the factors specified under Section 19(6) of the Act for determination of the ‘relevant geographic market’ and Section 19(7) of the Act for determination of the ‘relevant product market’. Section 19(4) of the Act gives a detailed list of factors that the Commission shall consider while assessing dominant position of an enterprise/ group of enterprises in the delineated relevant market.

Some of these factors are market share of the enterprise, size and resources of the enterprise, size and importance of the competitors, dependence of consumers, entry barriers, and social obligations and costs in the relevant geographic and product market. Thereafter, if the conduct of such enterprise which has been found to be dominant falls into any of the categories mentioned under Section 4(2) of the Act, the Commission may find it guilty of abuse of dominant position.

The Commission, on being satisfied that there exists a *prima facie* case of abuse of dominance, shall direct the Director General to cause an investigation and furnish a report. The Commission has the powers equivalent to those vested in a Civil Court under the Code of Civil Procedure, 1908 in respect of matters like summoning or enforcing attendance of any person and examining him on oath, requiring discovery and production of documents and receiving evidence on affidavit. The Director General, for the purpose of carrying out investigation, is vested with powers of a civil court besides having the powers to conduct 'search and seizure'.

**Note:** For the details of the procedures related to inquiry and investigations, please Refer to Competition Commission of India (General) Regulations, 2024 dated September 17, 2024 (also available on the Commission's website [www.cci.gov.in](http://www.cci.gov.in))

### **Powers of the Commission**

After inquiry, the Commission may pass *inter-alia* any or all of the following orders under Section 27 of the Act:

- direct the parties to discontinue and not to re-enter such agreement or discontinue such abuse of dominant position, as the case may be;
- direct the enterprise concerned to modify the agreement.
- direct the enterprises concerned to abide by such other orders as the Commission may pass and comply with the directions, including payment of costs, if any; and
- pass such other orders or issue such directions as it may deem fit.
- The Commission can impose such penalty as it may deem fit, which shall not be more than 10% of the average global turnover or income, as the case may be, for the last three preceding financial years, upon each of such persons or enterprises which are parties to such agreement or has abused its dominant position.
- Section 28 empowers the Commission to direct division of an enterprise enjoying dominant position to ensure that such enterprise does not abuse its dominant position in the future.

### **Interim order**

Under Section 33 of the Act, during the pendency of an inquiry into abuse of dominant position, the Commission may temporarily restrain any party from continuing with the alleged offending act until conclusion of the inquiry or until further orders, without giving notice to such party, where it deems it necessary.

**Note:** For the details of the procedures related to interim orders please refer to Competition Commission of India (General) Regulations, 2024 dated September 17, 2024 (also available on the Commission's website [www.cci.gov.in](http://www.cci.gov.in))

## **Appeals**

National Company Law Appellate Tribunal (NCLAT) is constituted under Section 410 of the Companies Act, 2013 and It is the appellate tribunal for the purposes of the Act to hear and dispose of appeals against any direction issued or decision made or order passed by the Commission under specified sections of the Act.

An appeal has to be filed within 60 days of receipt of the order/direction/ decision of the Commission.

## **Compensation [Section 53N of the Act]**

A person may move an application to NCLAT to adjudicate upon a claim for compensation that may arise from the findings of the Commission or an order for settlement passed under Section 48A of the Act.

## **Settlement and Commitments**

The Act was amended through enactment of the Competition (Amendment) Act, 2023, marking a major shift in India's antitrust framework. Among the key reforms was the introduction of the settlement and commitment mechanisms for cases involving alleged contraventions of Section 3(4) and section 4 of the Act, aimed at reducing litigation and ensuring faster market correction. To give effect to these reforms, the Commission has notified the Competition Commission of India (Settlement) Regulations, 2024 and the Competition Commission of India (Commitment) Regulations, 2024

An enterprise, against whom any inquiry has been initiated under Section 26(1) of the Act for contravention of Section 3(4) or Section 4 of the Act, has an option under Section 48A of the Act to file a settlement application before the Commission at any time after the receipt of Director General's report but within such time as maybe specified by the regulations, before an order under Section 27 or Section 28 is passed. Further, the enterprise has an option to file, under Section 48B of the Act, a commitment application at any time after an order under Section 26(1) has been passed by the Commission but within such time as may be specified by the regulations, prior to receipt by the party of the Director General's report.

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# **COMBINATIONS**

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## COMBINATIONS

### Introduction

The Act follows the philosophy of modern competition laws and aims at fostering competition and protecting Indian markets from anti-competitive practices. The Act prohibits anti-competitive agreements, abuse of dominant position and regulates combinations (mergers and acquisitions) with a view to ensure that there is no adverse effect on competition in India. The provisions of the Act relating to regulation of combinations have been enforced with effect from June 1, 2011. The Government of India amended the Act in 2023 to strengthen the regulatory framework governing mergers & acquisitions.

The salient features of the Competition (Amendment) Act, 2023 relating to the regulatory framework of combinations include:

- a) deal value threshold, for mergers and acquisitions where the value of the transaction exceeds ₹2,000 crore with the target having substantial business operations in India;
- b) issue of statement of objections by the Commission, allowing the parties to propose modifications etc. to address any likely competition concerns;
- c) reduction in the overall timeline for assessment of combinations from 210 to 150 days and a time limit of 30 days for forming a *prima facie* opinion failing which the transaction shall be deemed to have been approved;
- d) relaxation from the application of provisions relating to mandatory pre-transaction notification and approval in cases of implementation of an open offer or purchase of securities on a regulated stock exchange;
- e) incorporation of enabling clause for deemed approval on filing in certain cases [Green Channel]; and
- f) incorporation of an enabling clause for exempting certain categories of transactions from notification to the Commission [Exemptions].

The provisions of the Amendment Act relating to combinations became effective from September 10, 2024 along with the following combination related rules and regulations:

1. The Competition (Minimum Value of Assets or Turnover) Rules, 2024 [De-minimis values].
2. The Competition (Criteria of Combination) Rules, 2024 [Green Channel Rules].
3. The Competition (Criteria for Exemption of Combinations) Rules, 2024 [Exemption Rules].

The Competition Commission of India has issued a notification regarding revised set of comprehensive new Combination regulations, namely the Competition Commission of India (Combinations) Regulations, 2024 (Combination Regulations, 2024) after repealing the earlier Combination Regulations *i.e.* The Competition Commission of India (Procedure in regard to Transaction of Business relating to Combinations) Regulations, 2011.

### What is a combination?

Combination under the Act means the acquisition of control, shares, voting rights or assets, by a



person over an enterprise, and mergers and amalgamations between or amongst enterprises, when the combining parties exceed the thresholds prescribed in the Act. The thresholds are specified in terms of assets or turnover in India and abroad, or value of transaction. The terms ‘combination’ and ‘merger’ are used interchangeably in this booklet.

Entering into a combination which causes or is likely to cause an appreciable adverse effect on competition within the relevant market in India is prohibited and such a combination shall be void.

### **Thresholds for combinations under the Act**

India is one of the fastest growing economies in the world. The growth process is driven both by organic and inorganic expansion (through the mergers and acquisitions) of the enterprises. It is neither feasible nor advisable to review all mergers and acquisitions. It is generally presumed that in case of small-sized combinations, there is less likelihood of appreciable adverse effect on competition in markets in India. The Act provides thresholds in terms of assets/turnover/ value of transaction, for mandatory notification to the Commission.

Section 20(3) of the Act provides for the revision of the threshold limits every two years by the government, in consultation with the Commission, through notification, based on the changes in Wholesale Price Index (WPI) or fluctuations in exchange rates of rupee or foreign currencies. The Central Government has issued a notification regarding the revision of thresholds (Assets and Turnover) in 2024.

The thresholds are based on the assets, turnover of the parties to the combination and value of transaction. The assets and turnover thresholds are at enterprise-level and at group level, *i.e.* the group to which the target would belong after the combination. The threshold also takes into account the geographical limits as to the operation of the business. The current thresholds for the combined assets/turnover/ value of transaction of the parties to a combination are as follows:

- **At Enterprise level:** The value of combined assets of the combining enterprises exceeds ₹2,500 crores or the combined turnover of the combining enterprise exceeds ₹7,500 crores, in India. In case either or both of the combining enterprises have assets/turnover outside India also, then the combined assets of the combining enterprises value exceed US\$ 1.25 billion, including at least ₹1,250 crores in India, or combined turnover exceeds US\$ 3.75 billion, including at least ₹3,750 crores in India.
- **At Group level:** The group to which the combining enterprise whose control, shares, assets or voting rights are being acquired, would belong after the acquisition, or the group to which the combining enterprise remaining after the merger or amalgamation, would belong has either assets of value of more than ₹10,000 crores in India or turnover more than ₹30,000 crores in India. Where the group has presence in India as well as outside India then the group has assets more than US\$ 5 billion including at least ₹1,250 crores in India or turnover more than US\$ 15 billion including at least ₹3,750 crores in India.

The term ‘Group’ has been explained in the Act. Two enterprises belong to a “Group” if one of them is in a position to exercise at least 26% voting rights (or such other higher percentage as may be

prescribed) in the other enterprise or appoint at least 50% of the directors or controls the management or affairs in the other.

- **Value of Transaction:** More than ₹2,000 Crore, provided that the target, in case of acquisition, and merging or amalgamating entities, in case of merger or amalgamation, have substantial business operations in India (SBOI). Thresholds for SBOI are given in regulation 4(2) of the Combinations Regulations, 2024.

The above thresholds are presented in the form of a table below:

| Threshold under Section 5 of the Act |                                                                                                                                                                                                                                                                                                |                                                                |    |                                                                |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|----|----------------------------------------------------------------|
| Level                                | Geography                                                                                                                                                                                                                                                                                      | Combined Assets                                                |    | Combined Turnover                                              |
| Enterprise Level                     | India                                                                                                                                                                                                                                                                                          | More than ₹ 2500 Crore                                         | OR | More than ₹ 7500 Crore                                         |
|                                      | Worldwide (with India Component)                                                                                                                                                                                                                                                               | More than USD 1.25 billion with at least ₹ 1250 Crore in India |    | More than USD 3.75 billion with at least ₹ 3750 Crore in India |
| OR                                   |                                                                                                                                                                                                                                                                                                |                                                                |    |                                                                |
| GroupLevel                           | India                                                                                                                                                                                                                                                                                          | More than ₹ 10000 Crore                                        | OR | More than ₹ 30000 Crore                                        |
|                                      | Worldwide (with India Component)                                                                                                                                                                                                                                                               | More than USD 5 billion with at least ₹ 1250 crore in India    |    | More than USD 15 billion with at least ₹ 3750 crore in India   |
| OR                                   |                                                                                                                                                                                                                                                                                                |                                                                |    |                                                                |
| Value of Transaction                 | More than ₹ 2000 Crore.<br>Provided that the target, in case of acquisition, and merging or amalgamating entities, in case or merger or amalgamation, have substantial business operation in India (SBOI). Thresholds for SBOI are given in Regulation 4(2) of Combinations Regulations, 2024. |                                                                |    |                                                                |

Explanation (e) to Section 5 of the Act provides that the value of assets shall be determined by taking the book value of the assets as shown, in the audited books of account of the enterprise, in the financial year immediately preceding the financial year in which the date of proposed combination falls. If such financial statement has not yet become due to be filed with the Registrar of Companies under the Companies Act, 2013, then as per the statutory auditor's report made on the basis of the last available audited accounts of the company in the financial year immediately preceding the financial year in which the notice is filed. In case of turnover, as per explanation (c) to Section 5 of the Act, the turnover shall be certified by the statutory auditor on the basis of the last available audited accounts of the company in the financial year immediately preceding the financial year in which the notice is filed.

Further, explanation (f) to Section 5 of the Act provides that where a portion of an enterprise or division or business is being acquired, taken control of, merged or amalgamated with another enterprise, the

value of assets or turnover or value of transaction as may be applicable, of the said portion or division or business or attributable to it, shall be the relevant assets or turnover or relevant value of transaction for the purpose of applicability of the thresholds under Section 5.

### **De-Minimis Exemption**

In terms of Section 5(e) of the Act, the Central Government has notified The Competition (Minimum Value of Assets or Turnover) Rules, 2024, providing exemption to:

Such combinations where the value of assets being acquired, taken control of, merged or amalgamated is not more than ₹450 crores in India or turnover of not more than ₹1,250 crores in India.

### **Exemption Notifications**

In exercise of the powers conferred by Section 54(a) of the Act, the Central Government, in public interest, has exempted from notification:

- Regional Rural Banks in respect of which the Central Government has issued a notification under Section 23A(1) of the Regional Rural Banks Act, 1976 (21 of 1976), from the application of provisions of Sections 5 and 6 of the Act for a period of five years [*Vide* notification S.O.3238(E) dated 14<sup>th</sup> July,2023].
- All cases of reconstitution, transfer of the whole or any part thereof and amalgamation of nationalised banks, under the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 (5 of 1970) and the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980 (40 of 1980), from the application of provisions of Sections 5 and 6 of the Act for a period of ten years [*Vide* notification S.O.2828(E) dated 30<sup>th</sup> August,2017].

### **Exemptions**

The categories of combinations which fulfil the criteria prescribed in the Schedule to the Competition (Criteria for Exemption of Combinations), Rules 2024 (Exemption Rules) shall be exempt from the requirement to comply with Section 6(2), 6(2A), 6(4) and 6A of the Act. The exemptions are as under:

- (1) An acquisition of shares of an enterprise in ordinary course of business where the said transaction is:
  - a. an acquisition of unsubscribed shares upon devolvement as per covenant of an underwriting agreement by any person registered with Securities and Exchange Board of India, or other similar authority established under any law for time being in force outside India, as an underwriter, in so far as the total shares or voting rights held by the acquirer, directly or indirectly, does not entitle the acquirer to hold more than 25% of the total shares or voting rights of the company, of which shares are being acquired; or
  - b. an acquisition of shares as a stockbroker registered with Securities and Exchange Board of India, or other similar authority established under any law for time being in force outside India, in so far as the total shares or voting rights held by the acquirer, directly or indirectly,

does not entitle the acquirer to hold more than 25% of the total shares or voting rights of the company, of which shares are being acquired; or

- c. an acquisition of shares as a mutual fund registered with Securities and Exchange Board of India, or other similar authority established under any law for time being in force outside India, in so far as the total shares or voting rights held by the acquirer, directly or indirectly, does not entitle the acquirer to hold more than 10% of the total shares or voting rights of the company, of which shares are being acquired.

- (2) An acquisition of shares or voting rights solely as an investment in so far as the total shares or voting rights held by the acquirer directly or indirectly, does not entitle the acquirer to hold more than 25% of the total shares or voting rights of the company, of which shares or voting rights are being acquired, not leading to acquisition of control of the enterprise whose shares or voting rights are being acquired.

Explanation: - The acquisition of shares or voting rights of an enterprise shall be treated as solely as an investment where –

- a. pursuant to the said acquisition, the acquirer does not gain a right or ability to have a representation on the board of directors of any enterprise either as a director or as an observer;
- b. pursuant to the said acquisition, the acquirer does not gain a right or ability to access commercially sensitive information of any enterprise;
- c. the acquirer or its group entities and their affiliates are not engaged in:
  - i. any activity relating to production of similar or identical or substitutable product(s) or service(s) as offered by the target or its downstream group entities and their affiliates;
  - ii. any activity relating to production, supply, distribution, storage, sale and service or trade in product(s) or provision of service(s) which are at different stages or level of production chain to the activities of the target or of its downstream group entities and their affiliates; or
  - iii. any activity relating to production, supply, distribution, storage, sale and service or trade in product(s) or provision of service(s) which are complementary to the activities of the target or any of its downstream group entities or their affiliates.

Provided, where the acquirer or its group entities or their affiliates are engaged in any of the aforesaid activities mentioned in clause (c), the acquisition will be considered to be solely as an investment if such acquisition does not result in the acquirer holding 10% or more shares or voting rights after the acquisition.

- (3) An acquisition of additional shares or voting rights of an enterprise by the acquirer or its group entities, where the acquirer or its group entities, prior to acquisition, already holds shares or voting rights of the enterprise, but does not hold more than 25% of the shares or voting rights of the enterprise, either prior to or after such acquisition:

Provided that

- (i) such acquisition does not result in acquisition of control of such enterprise by the acquirer or its group.
  - (ii) pursuant to the acquisition, the acquirer or its group entities do not gain a right or ability to have a representation on the board of directors of any enterprise either as a director or as an observer for the first time;
  - (iii) pursuant to the acquisition, the acquirer or its group entities do not gain a right or ability to access commercially sensitive information of any enterprise for the first time except where the acquirer or its group entities already have right or ability to have a representation on the board of directors of any enterprise as a director;
  - (iv) In case the activities of the acquirer or its group entities and their affiliates exhibit horizontal or vertical or complementary linkages with the activities of target or its downstream group entities and their affiliates, the incremental shareholding or voting rights acquired by a single acquisition or a series of smaller inter-connected acquisitions does not exceed 5% and such acquisition(s) does not result in the shareholding or voting rights of the acquirer or its group entities increasing from less than 10% to 10% or more.
- (4) An acquisition of additional shares or voting rights of an enterprise by the acquirer or its group entities, where the acquirer or its group entities, prior to acquisition, already holds more than 25% shares or voting rights of the enterprise, but does not hold more than 50% of the shares or voting rights of the enterprise, either prior to or after such acquisition:

Provided that such acquisition does not result in change in control of such enterprise.

- (5) An acquisition of shares or voting rights, where the acquirer or its group entities, prior to acquisition, has more than 50% shares or voting rights in the enterprise whose shares or voting rights are being acquired, except in the cases where the transaction results in change in control of such enterprise.
- (6) An acquisition of assets of an enterprise in ordinary course of business- The acquisition of assets of an enterprise shall be treated as in ordinary course of business provided that said acquisition involves acquisition of stock-in-trade, raw materials, stores and spares, trade receivables or other similar current assets that do not constitute business.
- (7) An acquisition of assets, not directly related to the business activity of the party acquiring the asset or made solely as an investment, not leading to control of the enterprise whose assets are being acquired except where the assets being acquired represent substantial business operations

in a particular location or for a particular product or service of the enterprise, of which assets are being acquired, irrespective of whether such assets are organised as a separate legal entity or not.

- (8) An acquisition of shares pursuant to a bonus issue or stock splits or consolidation of face value of shares or buy back of shares or subscription to rights issue of shares, not leading to a change in control.
- (9) An acquisition of assets by one person or enterprise, of another person or enterprise within the same group, except in cases where there is change in control over assets being acquired.
- (10) A merger or amalgamation of enterprises within the same group provided that the transaction does not result in change in control.
- (11) Acquisition of shares, control, voting rights or assets by a purchaser approved by the Commission pursuant to and in accordance with its order under Section 31 of the Act.
- (12) Demerger of a company and issue of shares by resulting company, in consideration of demerger, either to the demerged company or to the shareholders of the demerged company in the proportion of their shareholding in the demerged company prior to the demerger, except for discharge of consideration for fractional shares.
- (13) For the purpose of this Schedule:
  - 1. The acquirer and its group entities mean the ultimate controlling person(s) of the acquirer and other entities forming part of the same group.
  - 2. An entity is considered to be an affiliate of another enterprise if that another enterprise has:
    - a. 10% or more of the shareholding or voting rights of the enterprise; or
    - b. right or ability to have a representation on the board of directors of the enterprise either as a director or as an observer; or
    - c. right or ability to access commercially sensitive information of the enterprise

### **Combination Notice**

The review process for combinations under the Act involves mandatory pre-combination notification to the Commission. Any person or enterprise proposing to enter into a combination shall give notice to the Commission in the specified form disclosing the details of the proposed combination prior to consummation of the proposal relating to merger or amalgamation by the board of directors or of the execution of any agreement or other document in relation to the acquisition, as the case may be. In case, a notifiable combination is not notified, the Commission has the power to inquire into it within one year of the taking into effect of the combination.

Any combination for which notice has been filed with the Commission would not take effect for a period of 150 days from the date of notification or till the Commission passes an order, whichever is



earlier. If the Commission does not pass an order during the said period of 150 days, the combination shall be deemed to have been approved.

If a combination meets the requirements of Green Channel [(i.e. Section 6(4) and relevant rules i.e. the Competition (Criteria of Combination) Rules, 2024] and the parties exercise the option to file the notice under Green Channel, then the notifying parties may give effect to the combination, i.e., consummate the combination, immediately upon filing of the notice under Section 6(4) of the Act read with regulation 5(5) of the Combination Regulations 2024 and receipt of the acknowledgement from the Commission, without waiting for the completion of the statutory standstill obligation of 150 days.

In terms of Section 31(6) of the Act, the Commission is required to pass an order or issue direction in accordance with the provisions of Section 31 of the Act within 150 days from the date of the notice given to the Commission. Further, in accordance with Section 29(1B) of the Act, the Commission shall form its *prima facie* opinion as to whether a combination is likely to cause or has caused an appreciable adverse effect on competition within the relevant market in India in a period of 30 days of the receipt of such notice.

#### **Acquisition or financing facility or share subscription by PFI, FPI, Bank, or Category IAIF, VCF etc.**

As per Section 6(9) of the Act, the provisions of Section 6 do not apply to share subscription or financing facility or any acquisition, by a Public Financial Institution, Foreign Portfolio Investor, Bank or Category I Alternative Investment Fund, pursuant to any covenant of a loan agreement or investment agreement.

#### **Procedure for investigation of combinations**

Under Section 29(1) of the Act, the Commission is required to form its *prima facie* opinion as to whether a combination is likely to cause or has caused an AAEC within the relevant market in India within 30 days of receipt of complete and valid notice. If the Commission is of the opinion that a combination is not likely to cause AAEC within the relevant market in India, it approves the same under Section 31(1) of the Act.

If the Commission is of the *prima facie* opinion that a combination is likely to cause an AAEC or has caused an AAEC within the relevant market in India, the Commission issues a show cause notice under Section 29(1) of the Act to the parties to combination, calling upon them to respond within 15 days of the receipt of the notice as to why investigation in respect of such combination should not be conducted. If the response of the parties is found to be satisfactory and the Commission decides that there is no AAEC, the Commission approves the combination under Section 31(1) of the Act.

If the response of the parties to the show cause notice issued under Section 29(1) of the Act is not found to be satisfactory and the Commission is of the *prima facie* opinion that the combination is likely to cause an AAEC or has caused an AAEC within the relevant market in India, the Commission shall direct the parties to the said combination to publish details of the combination to bring it to the knowledge or information of the public and of persons affected or likely to be affected by such

combination. Thereafter, the procedure laid down under Sections 29(3) to 29(6), 29A, and Section 31 of the Act is to be followed.

### **Evaluation of ‘appreciable adverse effect on competition’**

The Act envisages AAEC in the relevant market in India as the criterion for regulation of combinations. In order to evaluate appreciable adverse effect on competition, the Act empowers the Commission to evaluate the effect of combination on the basis of factors mentioned in Section 20(4).

Factors to be considered by the Commission while evaluating appreciable adverse effect of combinations on competition in the relevant market:

- a) actual and potential level of competition through imports in the market;
- b) extent of barriers to entry into the market;
- c) level of concentration in the market;
- d) degree of countervailing power in the market;
- e) likelihood that the combination would result in the parties to the combination being able to significantly and sustainably increase prices or profit margins;
- f) extent to effective competition likely to sustain in a market;
- g) extent to which substitutes are available or are likely to be available in the market;
- h) market share, in the relevant market, of the persons or enterprise in a combination, individually and as a combination;
- i) likelihood that the combination would result in the removal of a vigorous and effective competitor or competitors in the market;
- j) nature and extent of vertical integration in the market;
- k) possibility of a failing business;
- l) nature and extent of innovation;
- m) relative advantage, by way of the contribution to the economic development, by any combination having or likely to have appreciable adverse effect on competition
- n) whether the benefits of the combination outweigh the adverse impact of the combination, if any.

### **Green Channel**

As part of its ongoing and regular efforts to make combination approval faster and improve upon ease of doing business, an automatic system of approval for combinations under Green Channel has been introduced. Under this process, upon filing of a notice, and acknowledgement thereof, the proposed combination shall be deemed to have been approved by the Commission. Parties to the combination



are encouraged to avail the facility of pre-filing consultation to determine whether their combination is eligible for Green Channel.

The cases filed under this simplified merger control procedure (Green Channel) are deemed approved on filing. Section 6(4) and 6(5) of the Competition Act, 2002 (as amended) and relevant rules *i.e.* the Competition (Criteria of Combination) Rules, 2024 relate to the provisions and procedure for the cases filed under simplified merger control procedure and are deemed approved on filing.

### **Appeals**

Under the relevant provisions of the Act, an appeal to National Company Law Appellate Tribunal (NCLAT) may be filed within 60 days of receipt of the order/direction/decision of the Commission (Please refer Section 53B of the Act)

### **Penalties**

The Commission also has the power to impose penalty for non-furnishing of information on Combinations [(Please refer Section 43A of the Act *i.e.* non filing of notice with the Commission or consummation of a combination (partial or full) prior to approval of the Commission], for making false statement or omission to furnish material information (Please refer Section 44 of the Act) and for contraventions in relation to furnishing of information (Please refer Section 45 of the Act).

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## **LENIENCY**

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# LENIENCY

## Introduction

Leniency Programme is designed to support effective enforcement of the Act. A transparent and predictable leniency programme has been proven to be an effective tool to detect, investigate and combat cartel cases worldwide.

## Cartels- Penalty Provisions under the Act

Cartel is a pernicious offence under the Act. The Commission is empowered to inquire into any cartel, and to impose upon each person or enterprise included in that cartel, a penalty of up to 3 times of its profit for each year of the continuance of such cartel or 10% of its global turnover for each year of continuance of such cartel, whichever is higher.

In addition, the Commission has the power to pass, *interalia*, any or all of the following orders (Section 27):

- direct the parties to a cartel agreement to discontinue and not to re-enter such agreement;
- direct the enterprises concerned to modify the agreement;
- direct the enterprises concerned to abide by such other orders as the Commission may pass and comply with the directions, including payment of costs, if any; and
- pass such other order or issue such directions as it may deem fit.

## What is Leniency Programme?

- Leniency programme is an official system of offering lenient treatment to a cartel member who reports to the Commission about the cartel.
- Competition authorities have framed various leniency programmes to encourage and incentivise various actors connected with the commission of such competition infringements to come forward and disclose such anti-competitive agreements and assist the competition authorities in lieu of immunity or lenient treatment.
- Leniency programme is a protection to those who come forward and submit information honestly, who would otherwise have to face stringent action by the Commission if the existence of a cartel is detected by the Commission on its own.

## What is Leniency Plus Programme?

- Leniency Plus programme has been inserted in the Act vide the Competition (Amendment) Act, 2023 and provides for additional leniency to a cartel member in the first cartel, apart from the benefit of leniency programme, upon disclosure of the existence of a new/ second cartel to the Commission.

## **Rationale of Leniency and Leniency Plus Programmes**

- These are an incentive to those cartel members who choose to share information and cooperate with the Commission.

## **Leniency Provisions under the Act**

Section 46 of the Act provides for such leniency provisions which states:

The Commission may, if it is satisfied that any producer, seller, distributor, trader or service provider included in any cartel, which is alleged to have violated Section 3, has made a full and true disclosure in respect of the alleged violations and such disclosure is vital, impose upon such producer, seller, distributor, trader or service provider a lesser penalty as may be specified by regulations, than leviable under this Act or the rules or the regulations made under this Act:

Provided that lesser penalty shall not be imposed by the Commission in cases where the report of investigation directed under Section 26 has been received before making of such disclosure.

Provided further that lesser penalty shall be imposed by the Commission only in respect of a producer, seller, distributor, trader or service provider included in the cartel, who has made the full, true and vital disclosures under this section.

Provided also that lesser penalty shall not be imposed by the Commission if the person making the disclosure does not continue to cooperate with the Commission till the completion of the proceedings before the Commission.

Provided also that the Commission may, if it is satisfied that such producer, seller, distributor, trader or service provider included in the cartel had in the course of proceedings—

- (a) not complied with the condition on which the lesser penalty was imposed by the Commission; or
- (b) had given false evidence; or
- (c) the disclosure made is not vital,

and thereupon such producer, seller, distributor, trader or service provider may be tried for the contravention with respect to which the lesser penalty was imposed and shall also be liable to the imposition of penalty to which such person has been liable, had lesser penalty not been imposed.

The Commission may allow a producer, seller, distributor, trader or service provider included in the cartel, to withdraw its application for lesser penalty under this section, in such manner and within such time as may be specified by regulations. However, in such circumstances, the Director General and the Commission shall be entitled to use for the purposes of this Act, any evidence submitted by a producer, seller, distributor, trader or service provider in its application for lesser penalty, except its admission.

Where during the course of the investigation, a producer, seller, distributor, trader or service provider who has disclosed a cartel, makes a full, true and vital disclosure with respect to another cartel in which it is alleged to have violated Section 3, which enables the Commission to form a *prima facie*

opinion under Section 26(1) that there exists another cartel, then the Commission may impose upon such producer, seller, distributor, trader or service provider a lesser penalty as may be specified by regulations, in respect of the cartel already being investigated, without prejudice to the producer, seller, distributor, trader or service provider obtaining lesser penalty regarding the newly disclosed cartel.

Competition authorities have framed various leniency programmes to encourage and incentivise various actors connected with the commission of such competition infringements to come forward and disclose such anti-competitive agreements and assist the competition authorities in lieu of immunity or lenient treatment.

### **Leniency and Leniency Plus Programme - For Whom?**

Leniency programme is available for those enterprises/ individuals who disclose to the Commission their role in a cartel and cooperate with the subsequent investigation. They are rewarded by a reduction in penalty or complete amnesty from penalty. Leniency programs are universally accepted as being the best way to combat cartels.

To effectuate the leniency programme, the Commission has framed the Competition Commission of India (Lesser Penalty) Regulations, 2024. The salient features of the same are given as follows.

As per regulation 2(c) of the 2024 leniency regulations, applicant means an enterprise, as defined in Section 2(h) of the Act, who is or was a member of a cartel, and includes an individual who has been involved in the cartel on behalf of an enterprise; and further includes an enterprise or association of enterprises or a person or association of persons, though not engaged in identical or similar trade, who participates or intends to participate in furtherance of such cartel and submits an application for lesser penalty and/or lesser penalty plus to the Commission.

### **CCI (Lesser Penalty) Regulations, 2024**

To carry out the leniency provisions in the Act, Section 64 empowers the Commission to make regulations for matters in respect of which provisions are to be made by regulations. In pursuance of such powers, the Competition Commission of India (Lesser Penalty) Regulations, 2024 were brought out in February, 2024. These Regulations provide the framework within which the Commission can impose lower penalties than those statutorily provided, in the case of cartel membership.

There are three main components of a leniency programme. These are- (i) a set of conditions to be satisfied for getting benefits under the leniency and leniency plus programme; (ii) the procedure for grant of lesser penalty and lesser penalty plus; and (iii) the quantum of penalties that are waived when lenient treatment is meted out to cartel members who cooperate with the Commission by submitting information on the cartel. Each of these components is described below.

### **Conditions to avail benefits of leniency and leniency plus provisions**

The applicant must:

- provide the information before the receipt of the report of investigation directed under Section 26 of the Act;

- cease to further participate in the cartel from the time of its disclosure unless otherwise directed by the Commission;
- provide vital disclosure in respect of alleged violation under Section 3(3) of the Act;
- provide all relevant information, documents and evidence as may be required by the Commission;
- co-operate genuinely, fully, continuously and expeditiously throughout the investigation and other proceedings before the Commission;
- not conceal, destroy, manipulate or remove the relevant documents in any manner, which may contribute to the establishment of a cartel;
- not give any false evidence or omit to submit any material information knowing it to be material.

The reduction in monetary penalty will depend upon following situations-

- the stage at which the applicant comes forward with the disclosure;
- the evidence already in possession of the Commission;
- the quality of the information provided by the applicant;
- fulfillment of the conditions specified above or as may be specified by the Commission;
- the entire facts and circumstances of the case.

### **Rejection of leniency or leniency plus application**

Where an applicant or its authorised representative fails to comply with the conditions mentioned above, either before the Director General or before the Commission after receipt of the investigation report, the Commission may reject its application.

However, before rejecting the application, the Commission shall provide an opportunity of being heard to the applicant.

### **Procedure for Grant of Lesser Penalty/Lesser Penalty Plus**

- The applicant shall make an application through e-mail or fax or in writing to the designated authority.
- The Commission shall mark the priority status of the applicant and the designated authority shall convey to the applicant that its appropriate priority status has been marked, however, mere acknowledgement shall not entitle the applicant for grant of lesser penalty.
- The date and time of receipt of the application by the Commission shall be the date and time as recorded by the designated authority.
- The applicant shall then submit the written application containing all material/information as specified in the Schedule I/ Schedule II of LPR 2024, as may be applicable, within the specified period communicated by the Commission, failing which the priority status of

the applicant and consequent benefit of grant of lesser penalty/ lesser penalty plus shall stand forfeited.

- Unless the evidence submitted by the first applicant has been evaluated, the next applicant shall not be considered by the Commission.
- Lack of continuous cooperation entitles the Commission to reject the application after providing due opportunity of hearing to the applicant.
- Where the benefit of the priority status is not granted to the first applicant, the subsequent applicants shall move up in order of priority for grant of priority status by the Commission.

### **Quantum of reduction in penalty under Leniency Provisions**

The quantum of lesser penalty available under leniency provisions in comparison to penalty prescribed under clause(b) of the Section 27 of the Act is as under-

- Benefit of reduction in penalty upto or equal to 100% is available to the applicant if he is the first to make a vital disclosure enabling the Commission to form a *prima facie* opinion regarding the existence of a cartel on the basis of the evidence submitted. Further, benefit of reduction in penalty up to or equal to 100% is available even if the matter is under investigation, provided that, without such disclosures made by the applicant, the Commission or the Director General did not have sufficient evidence to establish such a contravention.
- Benefit of reduction in penalty upto or equal to 100% will only be considered, if at the time of the application, no other applicant has been granted such benefit by the Commission.
- The second applicant in the priority status may be granted benefit of reduction in penalty to the tune of 50%, and the third or subsequent applicants to the tune of up to 30%, of the full leviable penalty, respectively, on making a disclosure by submitting evidence, which provide a fillip to the already available evidence with the Commission or the Director General for establishing the existence of the cartel.

Under lesser penalty plus, an applicant, already being a lesser penalty applicant in respect of a cartel (first cartel), who makes full, true and vital disclosures in respect of existence of another cartel which is alleged to be in violation of Section 3 of the Act (second cartel), which enables the Commission to form a *prima facie* opinion regarding the existence of the newly disclosed cartel (second cartel) under Section 26(1) of the Act, may be granted an additional reduction in monetary penalty up to or equal to 30% of the penalty imposed with regard to the first cartel, in addition to the benefit of reduction in penalty already being derived by it in respect of the first cartel, besides getting benefit of reduction in penalty up to or equal to 100% in respect of the newly disclosed cartel (second cartel), in terms of Section 46(1) of the Act.

*Illustration: In respect of Cartel A, X and Y are lesser penalty applicants having first and second marker status with reduction in penalty available of up to or equal to 100% and 50%, respectively. Y, being aware of Cartel B, reports about it to the Commission under Regulation 7 of the CCI (Lesser*

*Penalty) Regulations, 2024. Subject to fulfilment of requisite conditions, for reporting Cartel B, Y shall be eligible for additional reduction in penalty of up to or equal to 30% in respect of Cartel A in addition to the lesser penalty benefit of up to or equal to 50% already being available to it in that respect, besides obtaining first marker status in respect of Cartel B.*

The discretion of the Commission, in regard to reduction in monetary penalty in respect of lesser penalty plus, shall be exercised having due regard to:

- a) likelihood of the newly disclosed cartel being detected by the Commission or the Director General without the lesser penalty plus application, and
- b) any other factor deemed relevant by the Commission.

### **Confidentiality**

Under the Competition Commission of India (Lesser Penalty) Regulations, 2024, it has been specifically mentioned that the identity of the applicant as well as the information, documents and evidence furnished as part of lesser penalty application, shall be treated as confidential and shall not be disclosed, save under the three situations stated below-

- when the disclosure is required by law; or
- when the applicant has agreed to such disclosure in writing; or
- when there has been a public disclosure by the applicant.

However, if required, such information, documents and evidence may be disclosed by the Director General to the other parties during the investigation, with prior approval of the Commission.

Non-confidential version of such information, documents and evidence would be shown to the other parties, only after the investigation report of the Director General has been forwarded to the parties.

However, except for submissions made before the Commission under Regulations 6 and 7 of the CCI (Lesser Penalty) Regulations, 2024 within a period of fifteen days or during the further period as may be extended by the Commission, confidentiality of all further submissions made by the lesser penalty and/ or the lesser penalty plus applicant before the Director General shall be governed in terms of provisions of Regulation 36 of Competition Commission of India (General) Regulations, 2024.

Such an arrangement of maintaining confidentiality would encourage submission of vital information with the Commission.

### **Withdrawal of application**

An applicant may withdraw its application for lesser penalty or lesser penalty plus, as the case may be, any time prior to the receipt of the report of the investigation under Section 26 of the Act in the concerned matter, by the Commission; however, the Director General or the Commission shall be at liberty to use, for the purposes of the Act, any information or evidence or documents submitted by the applicant, except its admission.



## Conclusion

A transparent and predictable Leniency Programme of the Commission supports the effective and efficient enforcement of the Act. Individuals and business organisations are more likely to come forward, cooperate, and plead guilty (rather than litigate) when they are aware of the relevant leniency considerations and the benefit that they can derive by availing the leniency programme of the Commission.

Benefits of an effective Leniency Program are as follows:

- There is a high risk of detection of cartels, and the sanctions imposed on cartel participants upon detection are significantly greater than the benefits that can be derived from cartelisation.
- There is great deal of transparency and certainty in leniency programme of the Commission. The applicant coming forward with vital disclosures and following the pre-determined conditions can assuredly avail leniency provisions under the Act.

Designated authority, under Regulation 2(f), 6 and 7 of the Competition Commission of India (Lesser Penalty) Regulations, 2024

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## **FREQUENTLY ASKED QUESTIONS**

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## FREQUENTLY ASKED QUESTIONS

### Q.1 What is competition in the market?

- In common parlance, competition in the market refers to the rivalry among firms as they independently strive to achieve objectives such as profit maximisation, market share expansion, or consumer loyalty.
- Consumers benefit from such contestability in the form of greater choice and better value. Thus, competition drives optimal allocation of resources, efficiency and innovation.

### Q.2 Why do we need competition in the market?

Competition is now almost universally acknowledged as the best means of ensuring that consumers have access to the broadest range of services at the most competitive prices. Competition drives productive efficiency, allocative efficiency and dynamic efficiency. Productive efficiency is achieved as firms strive to minimise costs and optimise their production processes to remain competitive, while allocative efficiency ensures that resources are distributed to produce the goods and services most desired by consumers. Dynamic efficiency is achieved when firms continuously innovate and invest in research and development to improve product, processes and technologies. Through this process, competition encourages businesses to improve product quality, lower prices, and expand the variety of offerings available. Consumers benefit from faster innovation, increased choice, better value, and greater affordability.

### Q.3 What is meant by unfair competition?

Unfair competition constitutes conduct by market participants that unlawfully restricts or distorts the competitive process, thereby undermining the principles of a free and open market. Under the Act, this includes collusive practices such as price fixing, market division, bid rigging, abuse of the dominant market position, and mergers or acquisitions likely to have appreciable adverse effect on competition.

### Q.4 What constitutes competition law and policy?

Competition law and policy comprise Government measures that regulate the structure of the industry and conduct of enterprises with a view to promoting efficiency and maximizing welfare.

There are two elements of such Government measures-

- **Competition Policy:** Set of policies, such as liberalised trade policy, FDI policy, de-regulation, etc., that enhances competition in the markets by reducing entry barriers, promoting access to resources and providing level playing field.
- **Competition Law:** Promote competition and prevent anti-competitive practices by enterprises as per the provisions of the Act.

### **Q.5 What are the objectives of the Act?**

The Preamble states that this is an Act to to prevent anticompetitive practices, promote and sustain competition, protect the interests of the consumers and ensure freedom of trade in markets in India.

### **Q.6 How would the objectives of the Act be achieved?**

The objectives of the Act are sought to be achieved through the instrumentality of the Commission which has been established by the Central Government with effect from October 14, 2003.

### **Q.7 What are the functions of Commission?**

To regulate competition in markets, the Commission carries out the twin functions of Enforcement and Advocacy.

Under its Enforcement domain, the Commission prohibits anti-competitive agreements and abuse of dominance, and also regulates combinations (mergers or amalgamations or acquisitions) through a process of inquiry/investigation.

As a part of the Advocacy domain, the Commission provides a non-binding opinion on a reference received from the Central Government or State Government with regard to the effect of a policy on competition.

The Commission is also mandated to take suitable measures for promotion of competition advocacy and culture, creation of public awareness and imparting training on competition issues.

### **Q.8 What is an “agreement” under the Act?**

An “agreement” includes any arrangement or understanding or concerted action entered into between the parties. It need not be in writing or formal or intended to be enforceable in law.

### **Q.9 What is an anti-competitive agreement?**

An anti-competitive agreement is an agreement having appreciable adverse effect on competition. Anti-competitive agreements are of two types: Horizontal and Vertical.

Agreements, including cartels, entered into by persons or enterprises or association(s) thereof, or amongst any of them, engaged in similar trade of goods or provision of services, including a person or enterprise or an association, participating or intending to participate in furtherance of such agreement, which:

- a. directly or indirectly determines purchase or sale prices; or
- b. limits or controls, production, supply, markets, technical development, investment or provision of services; or

- c. shares the market or source of production or provision of services or number of customers in the market or any other similar way; or
- d. directly or indirectly results in bid-rigging or collusive bidding;

are horizontal anti-competitive agreements, which are presumed to have an appreciable adverse effect on competition.

On the other hand, agreements amongst enterprises or persons at different stages or levels of the production chain in different markets, in respect of production, supply, distribution, storage, sale or price of or trade in goods or provision of services, including-

- a. Tie in arrangement
- b. Exclusive dealing agreement
- c. Exclusive distribution agreement
- d. Refusal to deal
- e. Resale price maintenance

are vertical anti-competitive agreements, if they cause or are likely to cause, an appreciable adverse effect on competition in India.

Even agreements between parties that are not engaged in identical or similar trades may still be considered anti-competitive if they result in, or are likely to result in, an appreciable adverse effect on competition in India, as recognized under the second proviso to Section 3(3) of the Competition Act.

#### **Q.10 What constitutes abuse of dominance?**

Dominance refers to a position of strength which enables an enterprise to operate independently of competitive forces or to affect its competitors or consumers or the market in its favour.

Abuse of dominant position impedes fair competition between firms, exploits consumers and makes it difficult for the other players to compete with the dominant undertaking on merit.

Abuse of dominant position includes:

- imposing unfair/ discriminatory conditions or price in purchase or sale of goods or services,
- predatory pricing,
- limiting production/market or technical development,
- creating barriers to entry,
- imposing supplementary obligations in contracts having no connection with the subject of the contract,

- denying market access, and
- using dominant position in one market to gain advantages in another market.

**Q.11 When the Commission may initiate inquiry into anti-competitive agreements/ abuse of dominance?**

- On its own on the basis of information and knowledge in its possession, or
- On receipt of an information, from any person, consumer or their association or trade association.
- On receipt of a reference from the Central Government or a State Government or a statutory authority.

However, an Information or a reference shall not be entertained unless it is filed within a period of three years from the date on which the cause of action has arisen, though the Commission may entertain the same if there is shown to be a sufficient cause for not filing the Information or reference within the requisite period of three years.

**Q.12 Who can provide information?**

Any person, consumer, or their association or trade association can provide Information relating to anti-competitive agreements and abuse of dominant position.

- A person includes an individual, Hindu Undivided Family (HUF), company, firm, Association of Persons (AOP), Body of Individuals (BOI), statutory corporation, cooperative society, artificial juridical person, local authority and body incorporated outside India.
- A consumer is a person who buys products (goods and services) for personal use or for other purposes.
- Intermediate customers can also provide Information.

This Information is to be filed as per the prescribed format and accompanied with prescribed fees. Please refer answer to Q.30 & Q.31.

**Q.13 Who can make a reference for an inquiry?**

The Central Government or a State Government or a statutory authority may make a reference for an inquiry. The reference shall be signed by an officer of level not less than joint secretary to the GoI.

**Q.14 Can the Commission initiate inquiry on its own?**

Yes, the Commission can initiate inquiry on its own on the basis of Information or knowledge in its possession.

**Q.15 How will the Commission proceed with an inquiry?**

On its own, or on receipt of information or a reference, if the Commission is of the opinion that there is a *prima facie* case, it shall direct the Director General appointed under the Act, to investigate the matter and report his findings to the Commission.

**Q.16 What will the Commission do after investigation?**

After receipt of the investigation report from the Director General:

- The Commission may forward it to the concerned parties seeking their objections/ suggestions on the report. If the investigation is on a reference from a government authority, the report shall be forwarded to the concerned authority as well.
- The Commission, upon consideration of the investigation report, may order supplementary investigation.
- The Commission is also empowered to make further inquiries itself.
- Upon conclusion of the above processes, the Commission shall determine whether it is a case of an anti-competitive agreement or abuse of dominant position or both, and after hearing the concerned parties, pass appropriate orders.

**Q.17 What orders the Commission can pass in case of anti-competitive agreements and abuse of dominant position?**

- During the course of inquiry, the Commission can pass interim order restraining a party from continuing with the anti-competitive agreement or abuse of dominant position.
- The Commission can impose a penalty of not more than 10% of the average turnover or income, as the case may be, for the last 3 preceding financial years, upon each of the person or the enterprise. In case of a cartel, the Commission can impose on each member of the cartel, a penalty of up to 3 times of its profit for each year of the continuance of such agreement or up to 10% of its turnover or income for each year of continuance of such agreement, whichever is higher.
- After the inquiry, the Commission may direct a delinquent enterprise to discontinue and not to re-enter the anti-competitive agreement or abuse its dominant position. The Commission may also direct modification of such agreement.
- The Commission may direct division of an enterprise in case it enjoys a dominant position to ensure that such enterprise does not abuse its dominant position.

**Q.18 What is a combination under the Act?**

*Vide* Notification dated March 4, 2011, the Central Government has appointed 1st day of June 2011 as the date on which provisions relating to Combinations shall come into force.

Broadly, combination includes acquisition of control, shares, voting rights or assets, acquisition of control by a person over an enterprise where such person has control over another enterprise engaged in competing businesses, and mergers and amalgamations between or amongst enterprises where these exceed the thresholds specified in the Act in terms of assets or turnover in India and abroad or value of transaction. If a combination causes or is likely to cause an appreciable adverse effect on competition within the relevant market in India, it is prohibited or combination may be approved with suitable modifications.

### Q.19 What are the thresholds in case of Combinations?

The Act provides for thresholds in terms of assets/turnover, for mandatory notification to the Commission. The Act also provides under Section 20(3) for revision of the threshold limits every two years by the Government, in consultation with the Commission, through notification, based on the changes in Wholesale Price Index (WPI) or fluctuations in exchange rates of rupee or foreign currencies.

The thresholds are based on the assets, turnover of the parties to the combination and value of transaction. The assets and turnover thresholds are at enterprise-level and at group level *i.e.* the group to which the target would belong after the combination. The threshold also takes into account the geographical limits as to the operation of the business. The current thresholds for the combined assets/turnover/value of transaction of the combining parties are as follows:

- **At Enterprise level:** The value of the combined assets of the combining enterprises exceeds ₹2,500 crores or the combined turnover of the combining enterprise exceeds ₹7,500 crores, in India. In case either or both of the combining enterprises have assets/turnover outside India also, then the combined assets of the combining enterprises value exceed US\$ 1.25billion, including at least ₹1,250 crores in India, or combined turnover exceeds US\$ 3.75billion, including at least ₹3,750 crores in India.
- **At Group level:** The group to which the enterprise whose control, shares, assets or voting rights are being acquired, would belong after the acquisition or the group to which the enterprise remaining after the merger or amalgamation, would belong has either assets of value of more than ₹10,000 crores in India or turnover more than ₹30,000 crores in India. Where the group has presence in India as well as outside India then the group has assets more than US\$ 5 billion including at least ₹1,250 crores in India or turnover more than US\$ 15 billion including at least ₹3,750 crores in India.
- **Value of Transaction:** More than ₹2,000 Crore. Provided that the target, in case of acquisition, and merging or amalgamating entities, in case of merger or amalgamation, have substantial business operations in India (SBOI). Thresholds for SBOI are given in regulation 4(2) of Combinations Regulations, 2024.



| Threshold under Section 5 of the Act |                                                                                                                                                                                                                                                                                                |                                                                |    |                                                                |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|----|----------------------------------------------------------------|
| Level                                | Geography                                                                                                                                                                                                                                                                                      | Combined Assets                                                |    | Combined Turnover                                              |
| Enterprise Level                     | India                                                                                                                                                                                                                                                                                          | More than ₹ 2500 Crore                                         | OR | More than ₹ 7500 Crore                                         |
|                                      | Worldwide (with India Component)                                                                                                                                                                                                                                                               | More than USD 1.25 billion with at least ₹ 1250 Crore in India |    | More than USD 3.75 billion with at least ₹ 3750 Crore in India |
| OR                                   |                                                                                                                                                                                                                                                                                                |                                                                |    |                                                                |
| GroupLevel                           | India                                                                                                                                                                                                                                                                                          | More than ₹ 10000 Crore                                        | OR | More than ₹ 30000 Crore                                        |
|                                      | Worldwide (with India Component)                                                                                                                                                                                                                                                               | More than USD 5 billion with at least ₹ 1250 crore in India    |    | More than USD 15 billion with at least ₹ 3750 crore in India   |
| OR                                   |                                                                                                                                                                                                                                                                                                |                                                                |    |                                                                |
| Value of Transaction                 | More than ₹ 2000 Crore.<br>Provided that the target, in case of acquisition, and merging or amalgamating entities, in case of merger or amalgamation, have substantial business operation in India (SBOI). Thresholds for SBOI are given in Regulation 4(2) of Combinations Regulations, 2024. |                                                                |    |                                                                |

#### Q.20 Does a firm proposing to combine have to notify the Commission?

A firm proposing to enter into a combination, shall notify the Commission in the specified form disclosing the details of the proposed combination prior to consummation of the approval of the proposed combination.

#### Q.21 Is there compulsory wait period for a Combination to take effect?

Yes. The proposed combination cannot take effect for a period of 150 days from the date of being notified to the Commission or till the Commission passes an order, whichever is earlier. If the Commission does not pass an order during the said period of 150 days, the combination shall be deemed to have been approved.

In terms of Section 31(6) of the Act, the Commission is required to pass an order or issue direction in accordance with the provisions of Section 31 of the Act within 150 days from the date of the notice given to the Commission under Section 6(2) of the Act. Further, in accordance with Section 29(1B) of the Act, the Commission shall form its *prima facie* opinion as to whether a combination is likely to cause or has caused an appreciable adverse effect on competition within the relevant market in India within 30 days of the receipt of such notice.

#### Q.22 What is the procedure for investigation of Combinations?

Under Section 29(1) of the Act, the Commission is required to form its *prima facie* opinion as to whether a combination is likely to cause or has caused an AAEC within the relevant market

in India within 30 days of receipt of complete and valid notice. If the Commission is of the opinion that a combination is not likely to cause AAEC within the relevant market in India, it approves the same under Section 31(1) of the Act.

If the Commission is of the *prima facie* opinion that a combination is likely to cause an AAEC or has caused an AAEC within the relevant market in India, the Commission issues a show cause notice under Section 29(1) of the Act to the parties to combination, calling upon them to respond within 15 days of the receipt of the notice as to why investigation in respect of such combination should not be conducted. If the response of the parties is found to be satisfactory and the Commission decides that there is no AAEC, the Commission approves the combination under Section 31(1) of the Act.

If the response of the parties to the show cause notice issued under Section 29(1) of the Act is not found to be satisfactory and the Commission is of the *prima facie* opinion that the combination is likely to cause an AAEC or has caused an AAEC within the relevant market in India, the Commission shall direct the parties to the said combination to publish details of the combination to bring it to the knowledge or information of the public and of persons affected or likely to be affected by such combination. Thereafter, the procedure laid down under Sections 29(3) to 29(6), 29A, and Section 31 of the Act is to be followed.

**Q.23 What orders the Commission can pass in case of a Combination?**

- It shall approve the combination if no appreciable adverse effect on competition is found.
- It shall disapprove of combination in case of appreciable adverse effect on competition.
- It may approve the proposed combination with suitable modifications.

**Q.24 Is there any leniency accorded to anyone who provides information on any anti-competitive agreement?**

Section 46 of the Act empowers the Commission to grant leniency by levying a lesser penalty on a member of the cartel who provides full, true and vital information regarding the cartel. The scheme is designed to induce parties to any anti-competitive behaviour to break ranks to help in detection and investigation of cartels. Pursuant to the 2023 amendment to the Act, Section 46(4) of the Act provides for 'leniency plus' which incentivises cartel participants to also disclose existence of another cartel to the Commission for seeking additional leniency by way of further reduction in penalty in respect of the first cartel. The procedure for availing the benefit of lesser penalty and lesser penalty plus by a cartel member has been laid down in the Competition Commission of India (Lesser Penalty), Regulations, 2024.

**Q.25 Who can represent the parties before the Commission?**

A person or an enterprise may either appear in person or through any of its officers or authorise one or more chartered accountants or company secretaries or cost accountants or legal practitioners to represent its case before the Commission.

**Q.26 Who can make a reference on a competition policy?**

The Central Government or a State Government, in formulating a policy relating to competition or in any other matter, may seek the opinion of the Commission by making a reference to it.

**Q.27 Who can make a reference on a competition issue?**

Any statutory authority can make a reference to the Commission for opinion on a competition issue that may arise during the course of a proceeding before it either at the behest of a party to the proceeding or on its own motion.

**Q.28 Can the commission make reference to a statutory authority?**

The Commission can make a reference to a statutory authority for opinion on a relevant issue that may arise during the course of proceeding before it, either at the behest of a party to the proceeding or on its own motion.

**Q.29 What are the provisions of appeal against any order of the Commission?**

The Central Government has notified National Company Law Appellate Tribunal (NCLAT) to hear and dispose of appeals against any direction issued or decision made or order passed by the Commission under specified sections of the Act, such as orders relating to notification of combination, inquiry by the Commission and penalties.

An appeal has to be filed within 60 days of receipt of the order/direction/decision of the Commission.

A person aggrieved with the decision or order of the NCLAT can appeal to the Supreme Court of India within 60 days from the date of communication of the direction, decision or order.

**Q.30 How to file information?**

- The informant has to provide complete postal address with PIN code, telephone number and email address. The legal name, address(es) and contact details of the person(s) and/or enterprise(s) alleged to have contravened the provisions of the Act should be clearly mentioned.
- The information should be duly signed by the authorised person in the form of statement of facts and should contain details of the alleged contraventions of the Act. It should be accompanied by supporting documents, affidavits and evidence.
- Any information or reference or responses to the Commission should be sent to the Secretary, in person or by registered post or courier service or facsimile transmission addressed to the Secretary or to the authorised officer.
- The information filed with the Commission should be accompanied by proof of having paid the fee by tendering demand draft or pay order or banker's cheque, payable in favour of

Competition Commission of India (Competition Fund), New Delhi or through Electronic Clearance Service (ECS) by direct remittance to the Competition Commission of India (Competition Fund), Account No.1988002100187687 with Punjab National Bank, Bhikaji Cama Place, New Delhi-110066.

- For complete details of the prescribed procedure for filing information, please refer to the booklet titled “How to File Information?” or refer the Competition Commission of India (General) Regulations, 2024 which is also available on the Commission’s website.

### **Q.31 What are the prescribed fees for filing information?**

The prescribed fees are as under:

- a) ₹6,000 (six thousand) in case of an individual or Hindu Undivided Family (HUF),
- b) ₹12,000 (twelve thousand) in case of Non-Government Organisation (NGO), or Consumer Association, or a Co-operative Society, or Trust,
- c) ₹50,000 (fifty thousand) in case of firm (including proprietorship, partnership or Limited Liability Partnership) or company (including one-person company) having turnover in the preceding year up to rupees two crores,
- d) ₹1,25,000 (one lac twenty-five thousand) in case of firm (including proprietorship, partnership or Limited Liability Partnership) or company (including one-person company) having turnover in the preceding year exceeding rupees two crore and up to rupees 50 crores,
- e) ₹6,00,000/- (six lacs) in the cases not covered under clause (a) or (b) or (c) or (d) above.

### **Q.32 What are the prescribed fees for filing interlocutory and miscellaneous application?**

For each interlocutory application, the following fees should be paid:

- ₹ 500 (five hundred) in case of individual or HUF,
- ₹ 1,000 (one thousand) in case of Non-Government Organisation (NGO), or Consumer Association, or a Co-operative Society, or Trust,
- ₹1,000 (one thousand) in case of Firm (including Proprietorship, Partnership or Limited Liability Partnership) or Company (including One Person Company) having turnover in the preceding year up to rupees two crore,
- ₹ 5,000 (five thousand) in all other cases.

For each miscellaneous application, the following fees should be paid:

- ₹ 3,000 (three thousand) in case of individual or HUF,

- ₹ 6,000 (six thousand) in case of Non-Government Organisation (NGO), or Consumer Association, or a Co-operative Society, or Trust,
- ₹25,000 (twenty five thousand) in case of Firm (including Proprietorship, Partnership or Limited Liability Partnership) or Company (including One Person Company) having turnover in the preceding year up to ₹ two crore,
- ₹ 60,000 (sixty thousand) in case of Firm (including Proprietorship, Partnership or Limited Liability Partnership) or Company (including One Person Company) having turnover in the preceding year exceeding 2 crore and up to ₹ 50 crore,
- ₹ 3,00,000 (three lacs) in the cases not covered above.

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## **COMPETITION COMMISSION OF INDIA**

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